CHIEF INVESTMENT OFFICE

Capital Market Outlook

June 1, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Higher Yields Tolerable, Not Recessionary:* Since the onset of the Hormuz-related oil shock in early March, analysts' concerns about higher-than-expected inflation and Federal Reserve (Fed) policy rates have intensified. Yet, market pricing suggests relatively well-anchored long-term inflation expectations and stable interest-rate term premia. Long-term Treasury yields—key to equity valuations and private sector borrowing costs—have thus remained within the narrow range of the past three years. With risk appetite generally unfazed, markets don't seem to see interest rates as a barrier to continued expansion and earnings growth. While current market pricing suggests yields are being driven primarily by stronger growth and productivity expectations, a shift toward term-premium-driven rate increases or a pick-up in long-term inflation expectations would create a less benign regime for risk assets.

Market View—*Stock–Bond Correlations Are Shifting: What It Means for Diversification:* The rising correlation between stocks and bonds has raised an important question for investors: Is traditional diversification still working? For much of the past two decades, the answer was largely yes. Stock and bond returns were consistently low to negative, with bonds reliably hedging equity market drawdowns. When stocks fell, bonds typically rallied, helping to cushion losses and smooth portfolio returns. More recently, however, that relationship has become less stable, with stocks and bonds at times moving in tandem. While both asset classes remain essential to diversified portfolios, the backdrop in which they operate has shifted, particularly as inflation uncertainty has become a more dominant macro force. The takeaway is that investors may want to consider taking a more dynamic approach to diversification ahead.

Thought of the Week—*Four Stats for Five Months:* Five months into 2026, markets have already packed in what feels like a full year's worth of headlines. Through it all, the S&P 500 Index has been remarkably resilient. Four stats help tell the story: Five Artificial Intelligence (AI)-oriented stocks make up about half of the S&P 500's year-to-date (YTD) return, six consecutive quarters of double-digit earnings growth for the S&P 500, 11 trading days for the S&P 500 to rebound from the brink of correction territory to reach a new record, and 19 new all-time highs posted by the S&P 500 this year. The numbers point to a market that has handled the noise in stride. Five months down, seven to go–stay the course.

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Portfolio Considerations

Equities remain supported by resilient fundamentals despite elevated geopolitical, energy, and policy uncertainty. Strong earnings momentum, fiscal stimulus, and rising productivity continue to underpin the growth outlook. We expect the supply-driven economic cycle to extend this period of transformation and support asset price reflation.

We maintain an Equity overweight, led by U.S. Equities, supported by robust earnings, improving market breadth, and sustained AI-related capital investment. We continue to expect double-digit S&P 500 earnings growth in 2026 and view episodic volatility as a potential buying opportunity.

We remain constructive on Fixed Income but underweight it to fund Equities, maintaining neutral duration amid expectations for range-bound yields as inflation stays sticky and GDP growth remains near or above 2%.

MACRO STRATEGY

Higher Yields Tolerable, Not Recessionary

Chief Investment Office, *Macro Strategy Team*

The recent inflation flareup and rise in Treasury yields have reignited concerns about the durability of the expansion, debt sustainability and Equity prices. Yet, higher yields do not inherently imply weaker growth prospects and lower risk-asset prices—the broader context is more important. When rates rise alongside stronger growth, productivity and profits, Equity prices can continue to advance. Conversely, rates pushed higher by unanchored inflation expectations, prospects for materially tighter policy, or worsening fiscal dynamics are more likely to weigh on risk assets.

This distinction has been evident over the past six years and helps explain the perceived disconnect in recent market pricing. Indeed, U.S. equity markets have largely defied concerns over the U.S./Iran war, sharply higher energy prices, and "higher-for-longer" Fed policy rates, testing new highs. As discussed below, they appear to see rates as "higher but tolerable" rather than "higher and recessionary." Here are some of the factors supporting this view:

- **The magnitude and reasons behind interest-rate moves matter**. Meaningful Equity drawdowns over the past three years have often been associated with sharp repricing due to upside inflation surprises and spikes in Treasury yield risk premia. This time around, stability in both the long-run term premium (Exhibit 1A) and inflation expectations have limited the equity market response. Despite the recent inflation flareup, long-term yields have remained broadly within the range established since 2023. The 10-year Treasury yield rose from roughly 4.0% at the onset of the conflict (near the bottom of the range) to a high of about 4.67% (near top of the range). While short-term yields have risen as markets repriced a "higher-for-longer" policy path in the wake of the U.S./Iran war, markets seem to view the current burst of inflation as transitory and a higher policy rate tolerable given stronger-than-expected growth.
- **Yield-curve shape still favorable for the growth outlook**. Although not particularly steep, it typically takes a much flatter or inverted yield curve to signal restrictive policy sufficient to materially weaken the growth and profits outlook.
- **Bonds lost relative appeal in a world of higher risks of inflation than growth**. Larger government deficits, resolved deleveraging pressures, a higher inflation environment, and increased supply-chain risks due to geopolitics create a regime of higher relative inflation risks than growth risks. With growth scares mainly arising from the inflation side, which is negative for bonds, Equity price drawdowns cannot be mitigated by bond buying as during the low-growth, low-inflation "secular stagnation" post-2008/2009 Global Financial Crisis period. Stocks and bonds thus decline at the same time, diminishing the diversification appeal of government bonds. In contrast to bonds, inflation pass-through and stronger growth prospects tied to AI further boost the relative growth potential and appeal of Equities, narrowing the equity risk premium and sustaining their valuations and returns.
- **Incoming data supportive**. Despite headwinds from the Iran oil shock to certain manufacturing areas, industrial production strongly surprised to the upside in April. As expected, AI-related investment (electronics, electrical equipment, infrastructure), fiscal support (business equipment, defense, aerospace), and wealth effects (increased motor-vehicle output) significantly contributed to expanding activity. These tailwinds, mixed with growing inventory restocking needs, cement the industrial sector growth path (Exhibit 1B)—a significant support for the growth and earnings outlook given the sector's strong multiplier effects on the economy.

Portfolio Considerations

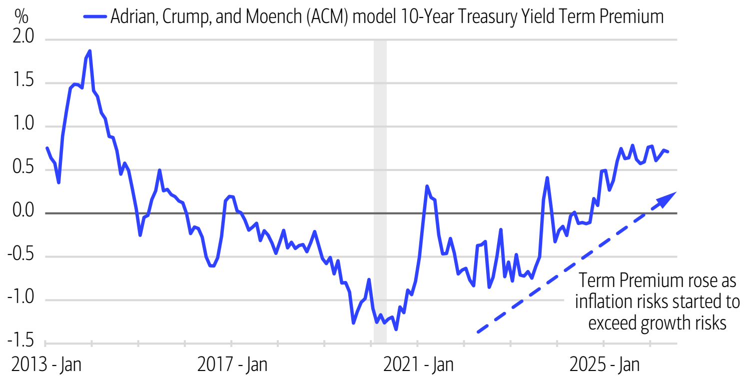
Markets signal a higher-growth, higher-real-rate environment. We continue to favor Equities, particularly in areas related to AI-led investment, wealth effects, and government support. Large deficits and reduced diversification benefits from sovereign debt securities argue for continued caution toward longer-duration government bonds.

- **Cross-asset signals constructive**. Market behavior is inconsistent with a classic inflation scare, aggressive Fed tightening, and related growth headwinds. Credit spreads remain tight, Equity volatility as measured by the Volatility Index (VIX) has retreated to below-average levels, and economically-sensitive sectors, such as Industrials and Technology, continue to outperform. Copper prices have strengthened, while defensive assets, such as gold, have lagged. If markets were driven by fiscal stress or concerns of overly restrictive Fed policy due to inflation worries, the opposite pattern would be expected to prevail.
- **Demand for risk assets underpinned by strong profits**. Earnings expectations–including for smaller-cap companies, which typically are highly sensitive to deteriorating growth prospects—have increased. AI-related investment, large fiscal deficits, strong wealth effects, and investment in energy, defense and reshoring are strongly boosting corporate cash flows and earnings. In turn, solid profits help sustain labor demand and business investment in a self-reinforcing economic expansion.
- **Rates and debt dynamics**. Large fiscal deficits have been an important source of support for corporate revenues and profits in an environment of heretofore soft business investment and uneven household wealth/income growth. Debt and deficits sustainability considerations therefore remain central to interest-rate dynamics, growth and profits. For now, however, as noted above, long-term Treasury yields remain contained, as inflation expectations are still anchored and embedded term premia remain stable, consistent with expectations for manageable inflation risks and fiscal sustainability pressures. Indeed, continued AI- and business-investment-led productivity growth around 2.0% to 2.5% would materially improve the long-run debt-to-gross domestic product trajectory compared with current projections, which are based on more conservative productivity assumptions.

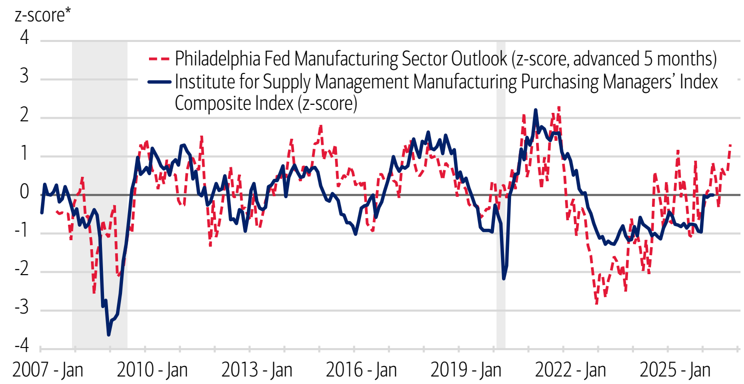
In sum, the U.S. macroeconomic backdrop remains resilient, with limited signs of broad overheating and untethered inflation. While inflation and interest rates warrant monitoring, markets continue to view the recent rise in yields as broadly benign—reflecting stronger-than-expected growth, improving productivity and solid earnings growth, rather than impending deterioration in growth prospects and ensuing financial instability. We continue to believe that absent an unanchoring of inflation expectations or a sharp rise in real yields unrelated to strengthening growth prospects, the expansion is likely to prove durable—a constructive backdrop for risk assets and investor sentiment.

Exhibit 1: Market Pricing Consistent With Contained Inflation Expectations and Broadening Growth.

A) Stable bond risk premia over the past year inconsistent with unanchored inflation and destabilizing Fed tightening.



B) Manufacturing gaining steam, positive for growth and profits.



Gray bars represent recessionary periods. ACM provides an approach for extracting term premia from Treasury yields. In standard economic theory, yields on Treasury securities are composed of two components: expectations of the future path of short-term Treasury yields and the Treasury term premium. Exhibit 1A Sources: Federal Reserve Bank of New York/Haver Analytics. Data as of May 26, 2026. *z-score is the number of standard deviations from the mean of a data set. Exhibit 1B Sources: Institute for Supply Management, Federal Reserve Bank of Philadelphia/Haver Analytics. Data as of May 27, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

MARKET VIEW

Stock–Bond Correlations Are Shifting: What It Means for Diversification

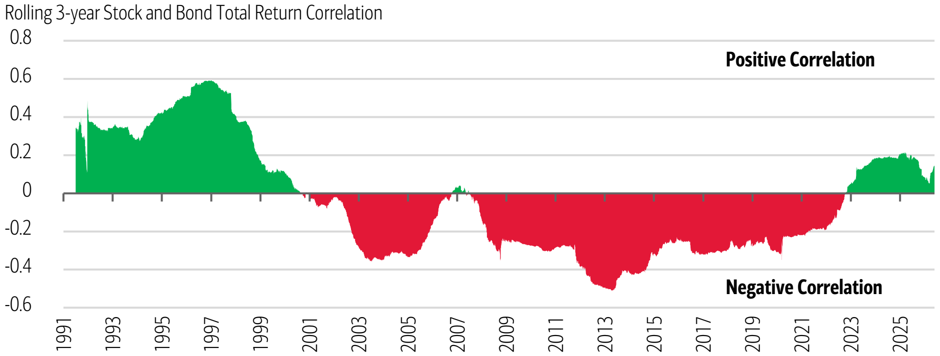
Kirsten Cabacungan, ***Vice President and Investment Strategist***

The rising correlation between stocks and bonds has raised an important question for investors: *Is traditional diversification still working?* For much of the past two decades, the answer was largely yes. Stock and bond returns were consistently low to negative, with bonds reliably hedging equity market drawdowns. When stocks fell, bonds typically rallied, helping to cushion losses and smooth portfolio returns. More recently, however, that relationship has become less stable, with stocks and bonds at times moving in tandem (Exhibit 2). While both asset classes remain essential to diversified portfolios, the backdrop in which they operate has shifted, particularly as inflation uncertainty has become a more dominant macro force.

Portfolio Considerations

We continue to emphasize the highest level of diversification within multi-asset portfolios, with an overweight bias to Equities given our expectation for strong earnings growth for 2026. We remain constructive on Fixed Income overall and continue to favor a significant allocation to bonds in a well-diversified portfolio. Investors may consider enhancing diversification by incorporating inflation-sensitive assets, Alternative Investments, for qualified investors, as well as ensuring broadening exposure across equity sectors, styles and geographies.

Exhibit 2: Long-Term Correlations Reflect Shifting Macro Regimes.



Source: Stocks represented by the S&P 500 Total Return Index. Bonds represented by the Bloomberg U.S. Aggregate Bond Total Return Index. Bloomberg. Data as of May 27, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

The traditional 60/40 allocation framework, typically defined as 60% Equities and 40% Fixed Income, has long relied on this inverse relationship between stocks and bonds. By combining Equities for growth potential with Fixed Income for income and downside mitigation, the strategy has historically delivered resilient outcomes across market cycles. A 60/40 allocation has generated positive annual returns in 29 out of the last 36 years.[1]

The pandemic era, however, marked an inflection point. A surge in fiscal and monetary stimulus drove inflation to multidecade highs, prompting an aggressive Fed tightening cycle and a transition to a higher-rate environment. This period represented a clear departure from the prior regime of low and stable inflation and easy financial conditions to one defined by elevated inflation, policy uncertainty and tighter financial conditions. The consequences of this shift were most evident in 2022, when both stocks and bonds declined sharply, resulting in a roughly 16% drawdown for a 60/40 allocation,[1] its worst annual performance since 2008. Rather than offsetting Equity losses, rising rates weighed on both asset classes simultaneously, challenging the foundational assumption of the traditional 60/40 playbook.

Since then, higher yields have helped bonds regain some footing, contributing to a meaningful rebound in multi-asset portfolios. A 60/40 allocation[1] delivered strong returns in the subsequent years, up 18% in 2023, 16% in 2024, and 14% in 2025, 15% in 2024 and 14% in 2025, supported by improved income and some restoration of diversification benefits. For example, during last year's tariff-driven Equity selloff, bonds provided stability, with the Bloomberg U.S. Aggregate Bond Index rising approximately 1%, while the S&P 500 declined roughly 18% from mid-February 2025 to early April 2025.

Importantly, although diversification benefits have returned, correlations have remained more variable than in the prior cycle. More recently, renewed inflation concerns amid the U.S.-Iran

[1] Source: Chief Investment Office calculations. A 60/40 allocation assumes a 60% allocation to the S&P 500 Total Return Index and 40% to the Bloomberg U.S. Aggregate Bond Total Return Index, rebalanced annually. Data reflects the period from 1990-2025. **For informational purposes only.** Indexes are not managed and do not take into account fees or expenses.

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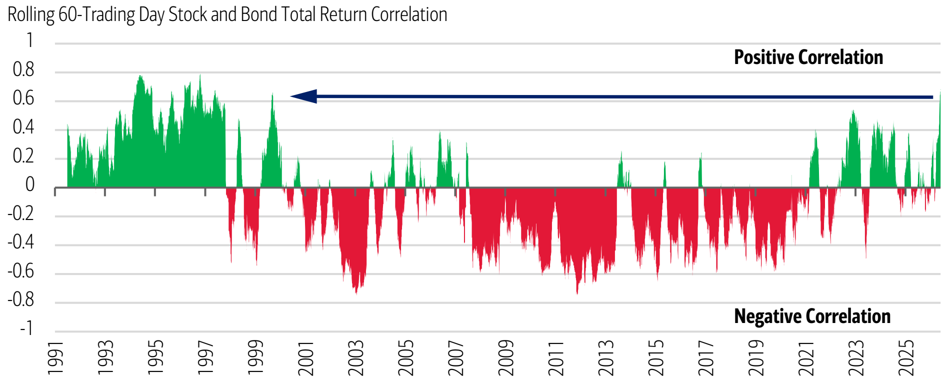
war supply shock and uncertainty around Fed policy have once again pressured both asset classes, pushing short-term stock–bond correlations sharply higher to their most extreme levels since 1999 (Exhibit 3).

Exhibit 3: Short-Term Correlations Hit Most Positive Level since 1999.



Source: Stocks represented by the S&P 500 Total Return Index. Bonds represented by the Bloomberg U.S. Aggregate Bond Total Return Index. Bloomberg. Data as of May 27, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Rising real interest rates have likely also played a role, increasing the sensitivity of both stocks and bonds to changes in interest rates. Part of the recent increase in real rates likely reflects a more constructive long-term growth outlook, supported by expectations that AI-driven productivity gains could lift equilibrium growth—and with it, the neutral rate.

Taken together, these developments underscore just how dependent the relationship between stocks and bonds is on the macroeconomic environment, particularly the balance between inflation and growth. In low-and-stable-inflation environments, stock-bond correlations tend to be low or negative as growth concerns dominate, driving stocks lower while bonds benefit from falling rates as the Fed cuts rates. In contrast, correlations tend to turn positive in inflationary or stagflationary environments, where inflation concerns dominate growth. That environment creates a more constrained policy backdrop, where the Fed has less ability to respond aggressively to slowing growth because of rising prices. In other words, stocks and bonds could decline simultaneously, limiting the ability of the portfolio to cushion downside risk.

The takeaway is not that diversification has broken down but that it has become more regime-dependent—reinforcing the need to adapt, not abandon, the 60/40 framework. It remains a strong foundation for balanced portfolios, particularly for investors seeking a mix of growth and stability. Bonds continue to play a critical role, providing income and diversification during growth-driven downturns. Importantly, current nominal and real yields, near the higher end of their range since 2008, have improved the overall return outlook for Fixed Income, reinforcing its value within a portfolio.

What has changed, however, is that investors may want to consider taking a more dynamic approach to diversification—one that incorporates a broader set of exposures with different macro sensitivities. Additional diversifiers may include inflation-sensitive assets such as real assets, including commodities, infrastructure and real estate, as well as accessing private markets through alternative investment strategies for qualified investors. It also means being more deliberate within Equities. As market leadership has narrowed with the rise of AI, concentration risk has increased. The top 10 stocks in the S&P 500 now account for roughly 39% of total market capitalization, up from 23% at the start of 2020, underscoring the importance of diversification across sectors, styles and exposures.

The upshot is that periods of volatility and shifting asset relationships are a natural part of investing. While market regimes evolve, the principles of investing remain the same. Staying anchored to strategic asset allocations, maintaining broad diversification, and rebalancing thoughtfully can help investors navigate uncertainty. In a more complex macro environment, the goal is not to abandon diversification, but to make it more resilient.

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THOUGHT OF THE WEEK

Four Stats for Five Months

Emily Avioli, ***Vice President and Investment Strategist***

Five months into 2026, markets have already packed in what feels like a full year's worth of headlines: a geopolitical conflict in the Middle East, an energy price shock, and a steep selloff followed by a rapid recovery. Through it all, the S&P 500 has been remarkably resilient. Four stats help tell the story.

1. Five AI-oriented stocks make up about half of the S&P 500's 9.8% YTD return. After a shaky start to the year, AI beneficiaries rebounded on renewed optimism about the buildout and Q1 earnings results that confirmed massive capital expenditures commitments remain intact. The Technology sector has led the S&P 500 higher since the March 30 low and is now the second-best performing sector in the S&P 500 YTD (Exhibit 4A).
2. Six consecutive quarters of double-digit year-over-year (YoY) earnings-per-share (EPS) growth for the S&P 500 as of Q1. The index notched 28.4% YoY EPS growth last quarter, marking the fastest pace since Q4 2021. Mega-cap technology earnings continue to lead the pack, but momentum has expanded to other areas—the S&P 493 reported YoY EPS growth of 17.4% in Q1, also the best since 2021 (Exhibit 4B). S&P 500 earnings estimates for the full year 2026 have moved higher in response.
3. 11 trading days for the S&P 500 to rebound from the brink of correction territory to reach a new record. The S&P 500 fell by 9.1% before swiftly snapping back, delivering the best 11-day price return in over four years. The S&P 500 has still not experienced a 10% pullback since April 2025—such drawdowns historically occur once a year on average (Exhibit 4C).
4. 19 new all-time highs posted by the S&P 500 YTD. Along the way, the index has also crossed five new "round-number" milestones, moving from sub-7,000 to start the year to above 7,500 by the end of May. For context, the S&P 500 recorded just three all-time highs over the same January to May window in 2025 (Exhibit 4D).

The first few months of the year have been anything but quiet, but the data points to a market that has handled the headlines in stride. Five months down, seven to go–stay the course.

Portfolio Considerations

If the first five months of the year are any guide, the remainder are likely to be choppy. We continue to view potential periods of market weakness as a potential buying opportunity for long-term investors.

Exhibit 4: 2026 by Charts

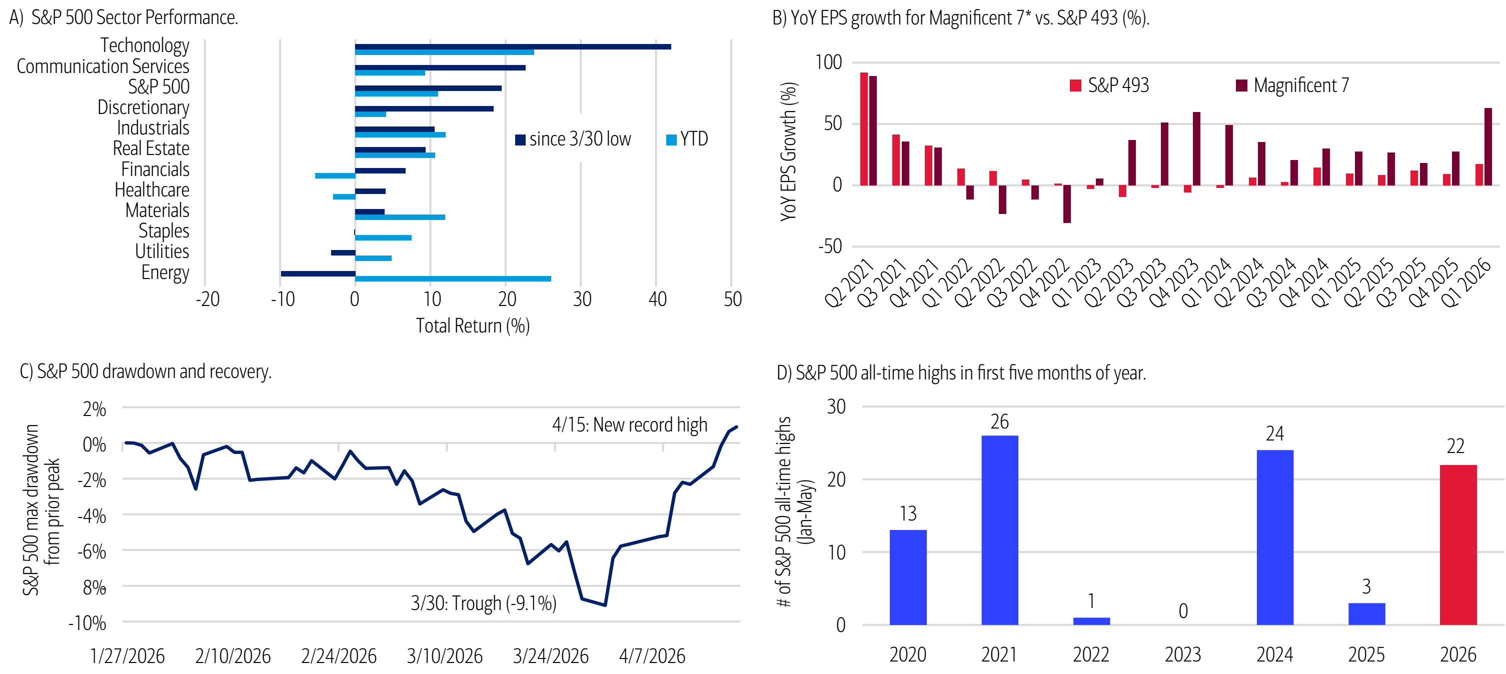

Exhibit 4A) Source: Bloomberg. As of May 29, 2026. Exhibit 4B) *Magnificent 7=Apple, Amazon, Alphabet, Nvidia, Meta, Microsoft, and Tesla. Source: FactSet. As of May 29, 2026. Exhibit 4C) Source: Bloomberg. As of May 29, 2026. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trends. Exhibit 4D) Source: Bloomberg. As of May 29, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

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MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	51,032.46	0.9	2.9	6.9
NASDAQ	26,972.62	2.4	8.4	16.3
S&P 500	7,580.06	1.4	5.3	11.3
S&P 400 Mid Cap	3,725.13	1.4	2.5	13.3
Russell 2000	2,919.34	1.8	4.4	18.2
MSCI World	4,864.59	1.3	4.6	10.5
MSCI EAFE	3,117.57	1.1	3.1	9.4
MSCI Emerging Markets	1,752.15	4.0	9.7	25.6

Fixed Income†

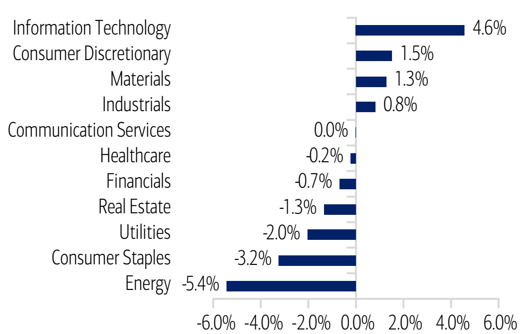
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.58	0.84	0.32	0.24
Agencies	4.33	0.53	0.09	0.47
Municipals	3.67	1.03	0.37	1.34
U.S. Investment-Grade Credit	4.67	0.83	0.31	0.38
International	5.13	0.97	0.76	0.67
High Yield	6.96	0.55	0.49	1.68
90 Day Yield	3.67	3.66	3.66	3.63
2 Year Yield	4.00	4.12	3.87	3.47
10 Year Yield	4.44	4.56	4.37	4.17
30 Year Yield	4.97	5.06	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	345.39	-2.5	-3.6	25.0
WTI Crude $/Barrel††	87.36	-9.6	-16.9	52.1
Gold Spot $/Ounce††	4540.26	0.7	-1.7	5.1

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.17	1.16	1.17	1.17
USD/JPY	159.27	159.18	156.59	156.71
USD/CNH	6.76	6.80	6.83	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 05/25/2026 to 05/29/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 05/29/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 5/29/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	1.6	2.5	1.9	1.9	2.1	2.2
CPI inflation (% y/y)	2.7	4.1	4.0	3.7	3.6	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of May 29, 2026.
Sources: BofA Global Research; GWIM ISC as of May 29, 2026.

Asset Class Weightings (as of 5/5/2026)

Asset Class	Underweight		CIO View Neutral		Overweight
Global Equities	•	•	•	●	•
U.S. Large-cap Growth	•	•	•	●	•
U.S. Large-cap Value	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
U.S. Small-cap Growth	•	•	•	●	•
International Developed	•	●	•	•	•
Emerging Markets	•	•	•	●	•
Global Fixed Income	•	●	•	•	•
U.S. Governments	•	●	•	•	•
U.S. Mortgages	•	●	•	•	•
U.S. Corporates	•	●	•	•	•
International Fixed Income	•	●	•	•	•
High Yield	•	●	•	•	•
U.S. Investment-grade Tax Exempt	•	●	•	•	•
U.S. High Yield Tax Exempt	•	●	•	•	•
Alternative Investments*					
Hedge Strategies					
Private Equity					
Private Credit					
Real Assets					
Cash					

CIO Equity Sector Views

Sector	Underweight		CIO View Neutral		Overweight
Industrials	•	•	•	●	•
Consumer Discretionary	•	•	•	●	•
Financials	•	•	•	●	•
Information Technology	•	•	●	•	•
Energy	•	•	●	•	•
Materials	•	•	●	•	•
Utilities	•	•	●	•	•
Healthcare	•	•	●	•	•
Communication Services	•	●	•	•	•
Real Estate	•	●	•	•	•
Consumer Staples	•	●	•	•	•

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of May 5, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Index Total Return is a performance benchmark that measures the index's price changes and assumes all cash dividends are reinvested.

Chicago Board Options Exchange Volatility Index (VIX) is a real-time market index that measures the expected 30-day forward-looking volatility of the U.S. stock market.

Institute for Supply Management Manufacturing Purchasing Managers 'Composite Index is an economic indicator that assesses the business environment by surveying purchasing managers at private-sector companies about their expectations for orders, production, employment, and supplier deliveries.

Bloomberg U.S. Aggregate Bond Index Total Return is a broad-based flagship benchmark that measures the investment grade, US dollar-denominated, fixed-rate taxable bond market.

S&P 493 refers to the S&P 500 Index excluding the top 7 largest companies, often referred to as the Magnificent Seven. It essentially represents the performance of the remaining 493 companies in the S&P 500.

S&P 500 sub-sectors and industry groups Global Industry Classification Standard (GICS®)/S&P 500 Total Return Index, including Information Technology Total Return (TR) USD; Consumer Discretionary TR USD; Industrials TR USD; Real Estate TR USD; Communication Services TR USD; Materials TR USD; Financials TR USD; Consumer Staples TR USD; Utilities TR USD; Energy TR USD; Healthcare TR USD.

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All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

May 26, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*The Markets Versus the Experts:* The conventional wisdom about the implications of the Iran war for energy prices and the economy is at odds with the performance of markets that continue to send a message of stronger growth, low long-term inflation and solid corporate earnings rather than the 1970's style stagflation message of the pundits. In short, the equity market, which has reached the beginning-of-the-year consensus for the 2026 year-end S&P 500 Index target of about 7500 more than six months ahead of schedule, seems to see something quite different from the doomsters. Bullish strategists have raised their year-end targets into the 8000-plus area as a result. Likewise, global bond yields have jumped, not because of a rising inflation outlook as some believe, but rather because a stronger global economy driven by a surge in global investment spending implies more robust demand for credit to fund the more productive economy of the future. Real interest rates are rising as accelerating borrowing demand puts more pressure on long-term funding costs. Private sector borrowing, which languished after the 2008/2009 Great Financial Crisis (GFC), is taking off in the "Roaring 20's." Long-term inflation expectations remain well-anchored despite the energy-induced spike in short-term expectations. A successful end to the Iran war could eventually push oil prices even lower than their pre-war levels and along with rising productivity impart a massive disinflationary shock to the global economy.

Market View—*Rethinking the Emerging Markets as an Asset Class:* It is time to rethink the Emerging Market (EM) moniker since we believe the broad-brush label created back in the 1980s is too diverse, fragmented, geopolitically divided and concentrated to function as a coherent investment category in today's world. Originally, EMs promised exposure to younger populations, rising middle classes, accelerating industrialization and faster growth relative to aging developed markets, coupled with the assumption that these nations would move toward greater convergence with developed nations. Today, however, things are different. We still look favorably on the asset class, but we continue to urge investors to be discerning about exposure to EMs. First, "EMs" hardly represent a homogeneous group. Second, globalization once lifted most EM boats, but geopolitical alignment in today's world matters as much as traditional macroeconomic variables. Third, returns remain highly dependent on U.S. dollar swings. Fourth, the assumption that EMs would converge with developed nations has not panned out. Finally, owing to Artificial Intelligence (AI) exposure, the MSCI EM Index is more concentrated than ever. We maintain our tactically overweight stance on EMs, but all the nuances above reinforce our preference for an active[1] approach to the asset class in portfolios.

Thought of the Week— *The Drive to "5": $5 Gasoline, 5% Inflation, 5% 10-Year:* Pushing higher are gasoline prices, inflation and Treasury yields. Gasoline prices have surged more than 50% since the start of the Iran war, pushing past $4.50 per gallon and significantly increasing the cumulative cost to consumers. This has contributed to headline consumer inflation rising from 2.4% year-over-year (YoY) in February to 3.8% by April, alongside a 6% YoY jump in producer inflation, signaling inflation pressures in the pipeline. At the same time, the 10-year yield surged to 4.67% last week, its highest since January 2025, as the 30-year yield hit 5.18%, its highest level since July 2007. The pace of these moves risk pressuring Equities and may limit the Federal Reserve's (Fed) ability to ease while reinforcing the need for more balanced portfolio positioning amid shifting macro-outcomes.

[1] Active management seeks to outperform benchmarks through active investment decisions such as asset allocation and investment selection.

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Portfolio Considerations

Equities remain supported by resilient fundamentals despite elevated geopolitical, energy, and policy uncertainty. Strong earnings momentum, fiscal stimulus, and rising productivity continue to underpin the growth outlook. We expect the supply-driven economic cycle to extend this period of transformation and support asset price reflation.

We maintain an Equity overweight, led by U.S. Equities, supported by robust earnings, improving market breadth, and sustained AI-related capital investment. We continue to expect double-digit S&P 500 earnings growth in 2026 and view episodic volatility as a potential buying opportunity.

We remain constructive on Fixed Income but underweight it to fund Equities, maintaining neutral duration amid expectations for range-bound yields as inflation stays sticky and gross domestic product (GDP) growth remains near or above 2%.

MACRO STRATEGY

The Markets Versus the Experts

Chief Investment Office, *Macro Strategy Team*

An excellent interview with four prominent analysts in the May 18 edition of Barron's[2] starts with three of the experts agreeing with the first question posed by the interviewer:

"Do you agree that the oil price is a broken barometer and the market is irrational?" The fourth panelist, who is more of a generalist investor rather than an energy expert, poses a follow-up question: "Don't we have to ask ourselves why these signals aren't materializing?" He goes on to say: "It's usually wrong to stand in your ivory tower shouting out the window that a broad swath of people is mistaken. In my 30 years' experience in markets…that's been a dangerous tactic." That experience illustrates a fundamental principle:

- When the market disagrees with the experts, the market often sees a fundamental truth that the experts are missing.
- Are current oil prices irrational, or are they telling us a different story that the experts don't see?

Energy experts have been baffled by the disconnect between their dire view of the energy shock's consequences and the fact that the energy futures market has remained relatively calm, with prices eventually moving closer to their pre-war levels rather than the catastrophic surges they are warning about.

Since oil prices are the markets' main concern since the war began, this disconnect extends into the equity markets where generally positive performance seems to fly in the face of all the dire predictions coming from the experts concentrating on the energy shock. If the market is a better processor of information than the pundits, there must be some logical explanation for the disconnect that the experts are missing.

The New World Order and the Iran War. Part of the problem for the experts today is that they learned their analytical frameworks in the old-world order that has been eradicated by the political revolution in the U.S., a revolution that Eurasia Group analysts dubbed the number one risk for 2026. Among their top 10 risks for the year, most had to do with the radical change under way in the geopolitical framework the experts learned in their formative years. The blueprint for the new world order is succinctly summarized in the U.S. administration's November 2025 position paper that lays out the new "National Security Strategy of the United States of America." The elements of this new strategy are playing out in real time in the Iran War, yet many media and market analysts seem to be ignoring the connections. The markets on the other hand cannot afford to ignore them because real money is at stake.

Here are some of the obvious connections to the new U.S. strategy starting in the Western Hemisphere, where the new policies put particular focus. Prioritizing the Western Hemisphere because of its proximity as originally expressed in the Monroe Doctrine, the administration has moved to reduce China and Russia influence in the neighborhood, including Venezuela, Cuba and the Panama Canal for example. Venezuela is especially important because it has the largest oil reserves in the world and was a major exporter to China. Iran and Venezuela together account for about 30% of China's oil imports, and Sankey Research estimates China has been left about 5 million barrels per day (bpd), short if the Hormuz shutdown goes on indefinitely. U.S. emergence as the world's biggest energy producer and now exporter together with control over Venezuelan oil creates significant leverage to help counter China leverage as the dominant processor of rare earth minerals. Reducing Russia and China influence in South America is a valuable benefit that is relevant for the ultimate outcome of the Iran War which the market seems to understand better than the pundits in our view.

Even more relevant for the war's outcome are the changed dynamics in the middle east. Here as well, China, and Russia influence has been eroding with the diminishing power of their ally, Iran, which the new National Security Strategy dubs the "chief destabilizing force" in the Middle East. It's significant that neither Russia nor China has stepped up to stop the U.S. from eroding the power of their proxies in the Western Hemisphere or Iran.

Investment Implications

A better-than-expected outcome from the Iran War would have positive implications for global growth, corporate earnings, and risk assets in our view. Market signals suggest a better-than-expected outcome is more likely than the consensus expects.

[2] Barron's, "*Beyond Hormuz*", Avi Salzman, May 18, 2026.

This is another reason to expect a more positive outcome from the war than the experts are anticipating. The new national security strategy puts an emphasis on better relations with the Gulf Arab States as well as better relations between Israel and the Gulf States (Abraham Accords). Rather than intimidate the Gulf States the Iran attacks on Saudi and United Arab Emirates facilities appear to have strengthened their resolve to "take care" of the Iranian radicals. This is driving them closer to both the U.S. and Israel.

A May 16 Wall Street Journal[3] article notes the change. "This war was a thresholding event in so many different ways." It has caused what a former U.S. deputy assistant secretary of defense for the Middle East calls "a watershed moment in how Gulf air forces—specifically the Saudis and Emiratis, which have the most capable air forces of the Gulf countries, moved from using them in defensive ways to offensive ways." Events of the past few years were already moving toward increased U.S. influence and reduced Russia and China influence in the region. Iran has been the primary actor pulling the strings for them. All of this suggests the view that the U.S. will "cut its losses" and leave a hostile Iran regime in place may be wrong despite the powerful short-term political incentives. A much bigger result would be an Iran friendly to its Gulf neighbors and the U.S. The result of a peaceful Middle East would be a golden age of economic development. The benefits would be global in scope in our view. The stars have aligned in a way that makes such an outcome a real possibility. The market in any event seems to be assigning a higher probability to a favorable outcome than the experts assuming a "cut your losses" scenario with the Islamic Revolutionary Guard Corps still hostile to the world.

Market Signals Consistent with a Favorable Outcome. The rise in long-term bond yields around the world has prompted concerns about stagflation, a term that dates to the 1970's to describe the simultaneous rise of inflation and unemployment. In the U.S. half of the stagflation mix is missing. The labor market remains remarkably resilient. Unemployment claims are very low. Job growth has picked up with the manufacturing sector as factory output rose for the fourth straight month in April with early indications for May showing more of the same. In short, the unemployment rate has been steady at a historically low level and is inconsistent with stagflation.

The reason for a healthy labor market is not hard to find. Corporate profits posted a strong Q1 and are rising much faster than normal. According to BofA Global Research, the Global Earnings Revision Ratio rose in May led by a significant increase in the U.S. Earnings are the source of economic growth and the world economy is showing strong earnings increases. The rise in energy prices is hurting the profits of some companies and helping those of others, especially energy companies where a lot of recent upward revisions to earnings are. The relative outperformance of U.S. earnings revisions reflects U.S. energy independence and net exporter status, especially compared to economies that are net energy importers. Rather than a stagnating economy, higher energy prices have caused a remixing of strong profits in a cyclical upswing.

It's typical as a cycle matures for the Fed to drop its easing bias and move to a more neutral stance as we are seeing.

Eventually a neutral posture gives way to a tightening bias as the economy overheats and labor costs pressure inflation higher. That's not happening. The rebalancing of the labor market after the post-pandemic overheating has brought unit labor cost increases down to about 2% consistent with the Fed's inflation target.

Rising productivity has contained labor costs keeping long-term inflation expectations well anchored and consistent with the Fed's target despite the flare-up in energy prices which the futures market believes is temporary. In these circumstances it is doubtful that a Warsh-led Fed would raise rates anytime soon as some suggest. In fact, if a disinflation shock hits the world after the war ends, easing could even be back on the table. All things considered, a neutral stance seems logical for the time being.

In the meantime, the rise in rates to date seems like a normal cyclical rise as the market prices in a neutral Fed policy into longer-term rates that had been priced for some easing. It's reassuring that the bulk of interest rate increases are in real rates reflecting a strong growth outlook as the investment boom raises long duration credit demand to finance the productivity enhancing technology of the future. Rates are essentially returning to pre-GFC levels, which are more consistent with stronger nominal GDP growth after the long subpar nominal regime of the zero-rate era.

[3] Wall Street Journal, "*The Gulf Powers Aim to Restore Balance*", Jared Maisin, Summer Said, and Shelby Holliday, May 16, 2026.

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Rethinking the Emerging Markets as an Asset Class

Joseph P. Quinlan, ***Managing Director and Head of CIO Market Strategy***
Ariana Chiu, ***Assistant Vice President, Investment Strategist***

It is time to rethink the EM moniker since we believe the broad-brush label created back in the 1980s is too diverse, too fragmented, too geopolitically divided and too concentrated to function as a coherent investment category in today's world.

The original investment concept promised investors exposure to countries with younger populations, rising middle classes, increased urbanization, accelerating industrialization, and faster economic and earnings growth relative to aging developed markets. These common characteristics were coupled with the underlying assumption that these nations were all broadly moving in the same direction—towards greater convergence with the developed nations. Hence, as a distinct and diversified asset class from mature developed nations, EMs offered investors the potential for outsized returns relative to their developed peers. It was the ultimate diversification play.

Today, however, things are different. Yes, we still look favorably on the EM asset class; we are overweight EM. But that said, we have long urged investors to be more discerning and nuanced about exposure to EM for a variety of reasons.

First, the term "emerging markets" hardly represents a homogeneous group. The constituents of this asset class are wide ranging and diverse, all operating under different political systems, possessing different demographic profiles, and different economic models (Exhibit 1A).

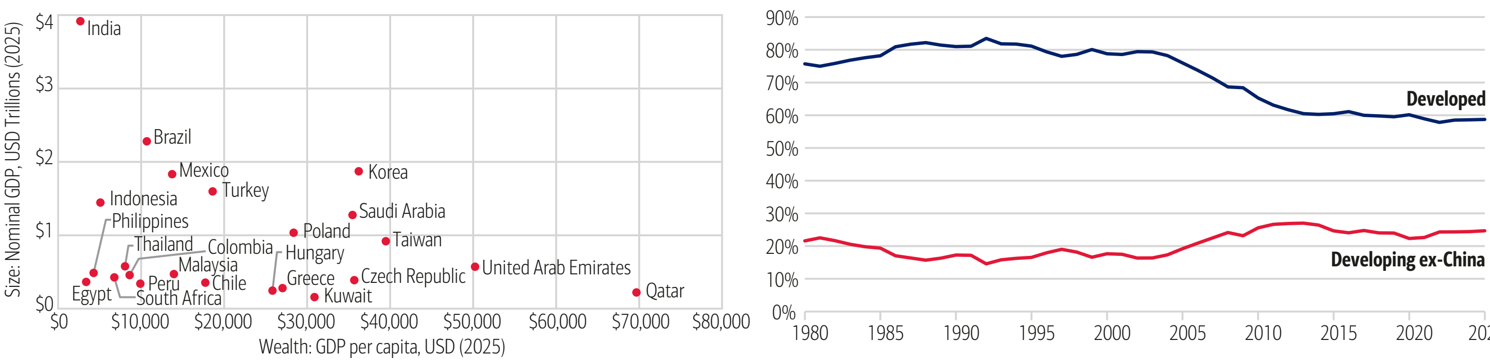
Portfolio Considerations

Our tactical overweight to EMs is caveated with a preference for an active approach because individual countries differ widely across fundamentals, geopolitical alignment, and index construction. Key areas of opportunity include technology leaders in Asia and commodity producers in Latin America. EM currencies also have room to appreciate against the dollar which should benefit EM returns this year.

Exhibit 1: EMs Are Diverse and Haven't Converged with the Developed World.

A) Wealth vs. Size: EMs Are Hardly Homogeneous.

B) Share of Global Nominal GDP.



Source: International Monetary Fund. Data as of April 2026.

And virtually all of these economies are at different levels of development—China, for instance, is a state-led manufacturing superpower dependent on export growth, juxtaposed against India's service-led democracy powered by domestic consumption and demographics much more favorable than China's. Vietnam is a play on global supply chain diversification from China. Brazil and much of South America remains heavily tied to the global commodities cycle. What is the investment common denominator that links Colombia to the Czech Republic, or South Africa to Greece? There isn't one.

Second, while trade liberalization and globalization in the 1990s represented a tide that lifted most EM boats—and supported the theme of economic convergence—today's fraught world of geopolitics is forcing countries into different strategic camps (U.S. vs China), different supply-chain ecosystems, and different technological blocs. Today, investors increasingly need to understand which EMs are aligned with the U.S. or China, and the risks associated with this geopolitical choice. Geopolitical alignment matters as much as traditional macroeconomic variables.

Another consideration for investors is the U.S. dollar, given that benchmark indexes are based on the US currency. Returns on EM assets, in other words, are highly dependent on swings in the U.S. dollar, with 2025 EM returns a case: Nearly one-fifth of the MSCI EM index's 34% total return last year was driven by a weaker U.S. dollar rather than investment fundamentals.

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A fourth reason for caution: The underlying premise of EM investing—that this cohort would converge with the incomes and development of the developed nations—has not panned out. Faster levels of economic growth were supposed to turbocharge EM returns relative to the developed nations but as Exhibit 1B highlights, the EM's share of global GDP, ex. China, was just 24.7% in 2025, marginally higher than the 22.5% share back in 1981.

The central tenet of EM investing—that the future belonged to the EMs—went awry for two reasons: One, many developing nations failed to build strong political and economic institutions, reliable legal systems, productive capital markets and advanced innovation systems that all had the effect of depressing growth and development. And two, the developed world—notably the U.S.—never stood still. The original EM thesis was that the developed world would stagnate, while the developing nations would catch up. Hardly. Investors, in particular, underestimated the resilience of the U.S. and its strategic advantages in innovation, higher education, capital markets, energy production and entrepreneurship, to name a few strengths. Against this backdrop, it is hardly surprising that U.S. Equities have outperformed the MSCI EM index by 166% this century.

And finally, one more note for consideration: AI is eating the world—including the EMs. Owing to sky-high growth in just a handful of AI names, the MSCI EM Index is now more concentrated than ever. On a country level, Taiwan and Korea now account for a combined 46% of the index, outpacing China and India at a combined 33% after Taiwan surpassed China to become the largest country in the index (Exhibit 2A). Just three semiconductor stocks now make up 27% of the index, including Taiwan Semiconductor Manufacturing Company at 14%—that's larger than India's weight at 11%.

That's another way of saying that, taken in aggregate, the EM universe has become increasingly leveraged and exposed to the AI trade. So much so that the Technology sector has a larger presence in the MSCI EM Index (40% weight) than the S&P 500 (37%). Of course, AI heavyweights in EM Asia are inextricably linked to AI heavyweights in the U.S., often relying on American companies for a significant share of revenues. Hence the dramatic rise in AI-related exports from Taiwan and Korea this year owing in part to insatiable demand from the U.S. (Exhibit 2B).

Exhibit 2: AI is Eating the EMs.

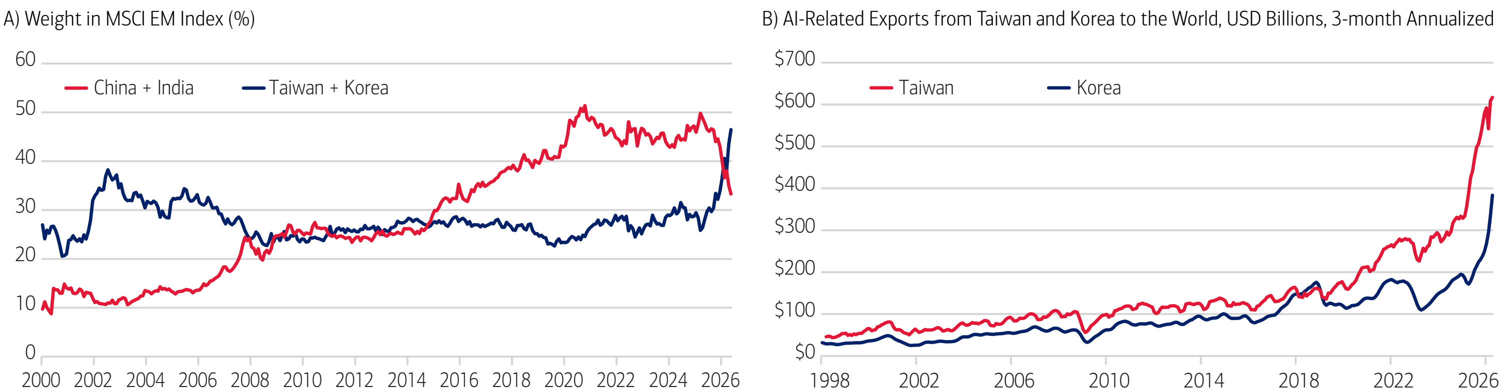


Exhibit 2A Source: FactSet. Data as of May 19, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index. Exhibit 2B Sources: Taiwan Ministry of Finance, Korea Ministry of Trade, Industry and Resources, Haver Analytics. AI-related exports include household electronics, semiconductors, automatic data processing machines, telecommunications equipment, electrical machinery and parts. Data as of May 19, 2026.

The bottom line for investors: Now approaching 50 years since the EM label was born, it's time for a rethink. Across fundamentals, geopolitical alignment, and sector exposures, every country in the asset class is different. Geopolitical risk and the rise of AI only exacerbate these differences, in our view. We continue to like technology leaders in Taiwan, South Korea, and China and are positive on the emerging China biotech sector. Commodity-exposed markets in Latin America are primed to benefit from the resource and metal-intensive global buildout of AI infrastructure, electrification and reshoring. Eventual de-escalation in Europe and the Middle East would provide a massive catalyst for reconstruction, aiding global cyclicals and industrial players in Emerging Europe. Overall, we maintain our tactically overweight stance on EMs given AI tailwinds and strong fundamentals, but all the nuances above reinforce our preference for an active approach to the asset class in portfolios.

THOUGHT OF THE WEEK

The Drive to "5": $5 Gasoline, 5% Inflation, 5% 10-Year

Lauren J. Sanfilippo, ***Director and Senior Investment Strategist***

The “5” level on gas prices, consumer inflation, and the 10-year isn’t inconceivable with gasoline prices pushing beyond $4.50 a gallon, a consumer price index (CPI) trending toward 4%, and the 10-year Treasury yield breaching 4.60%. Gone is the low-rate, low(er)-inflation pre-war backdrop. While none of these “5s” are what we’d consider our base case, they are rather high on our radar screen.

On the day the Iran war broke out, the national average for regular gasoline was $2.98 a gallon and has surged to $4.49 most recently, a rise of roughly 50% in under three months. National prices have plateaued around $4.50 over the past few weeks, though Brent crude continues to trade up to a $100 barrel. The total consumer cost resulting from the difference in the actual gas price compared to a no-war scenario is $26.6 billion and growing. See Exhibit 3A for the pain at the pump. Brown University’s Watson School of International and Public Affairs estimate a $203 per household cost given higher gas prices.

The gasoline price hike contributed to the spike in headline inflation from a closer-to-target 2.4% YoY in February to 3.8% in April. The producer price index measuring producer inflation clocked in at 6% YoY in April, a multiyear high. With the Strait of Hormuz still closed and crude oil prices still elevated, near-term upside inflation risks remain firmly intact. In sympathy, the U.S. 10-year Treasury yield has climbed 57 basis points from 4.03% at the start of the war through 4.50% as of late. (See Exhibit 3B for the trend in inflation and yields.) Long-end yields have already neared multi-decade highs. Notably, thve most recent 30-year Treasury auction cleared at 5%, a level not seen since 2007.

Investment Implications

A key variable for the back half of the year is how high gas, inflation and yields will travel, with global central banks increasingly unsynchronized. For Equities, it’s not just the level, but the speed of the adjustment in rates that matters. Equity markets have historically better tolerated more gradual increases in yields compared to sharper accelerations.

Exhibit 3: On the Up and Up-Gas prices, Inflation and Yields.

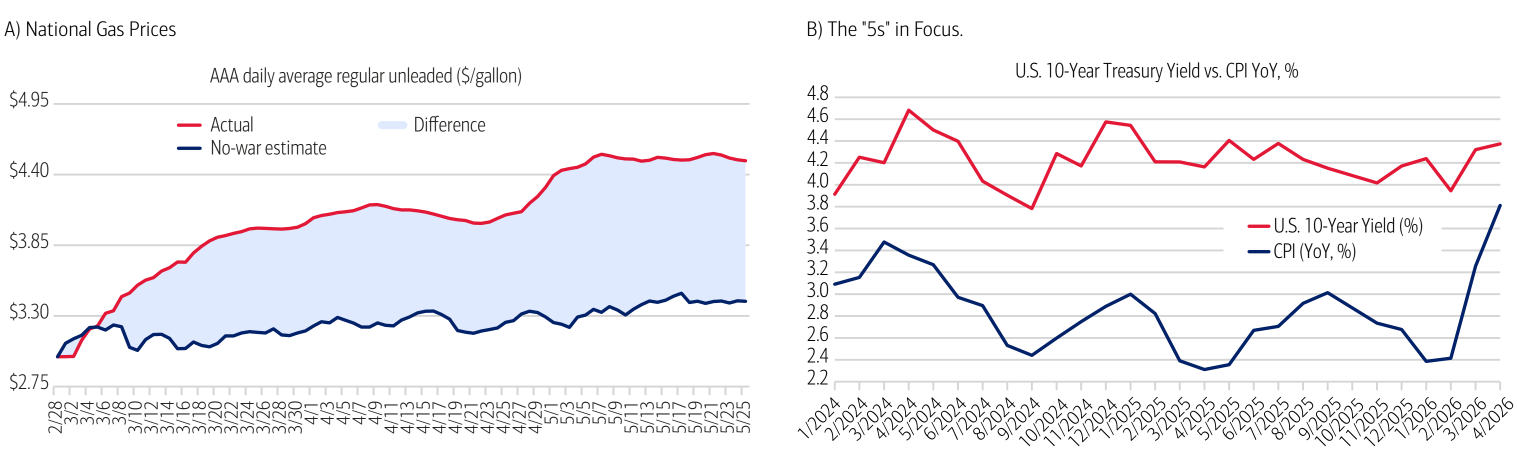


Exhibit 3A Source: The Watson School of International and Public Affairs at Brown. Data as of March 25, 2026. Area between two lines indicates consumer cost burden vs. no-war estimate. Exhibit 3B Source: Bloomberg. Monthly data as of May 2026. **Past performance is no guarantee of future results.**

Ultimately, the path of U.S. gasoline prices will be a key transmission channel into inflation, Fed expectations, and consumer spending. Inflation moving into a range of 4 to 5%, may limit the Feds ability to cut rates this year. Consequently, BofA Global Research has pushed out its rate cut call to the back half of 2027. Above all else, and from an investment perspective, the drive to “5s” will stress test portfolios and underscores the need for more balanced Equity exposure amid shifting outcomes for the macro backdrop.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	50,579.70	2.2	2.0	5.9
NASDAQ	26,343.97	0.5	5.9	13.6
S&P 500	7,473.47	0.9	3.8	9.7
S&P 400 Mid Cap	3,673.41	1.8	1.0	11.7
Russell 2000	2,869.23	2.7	2.6	16.1
MSCI World	4,801.11	1.3	3.2	9.0
MSCI EAFE	3,086.86	2.2	2.0	8.2
MSCI Emerging Markets	1,686.05	1.1	5.5	20.8

Fixed Income†

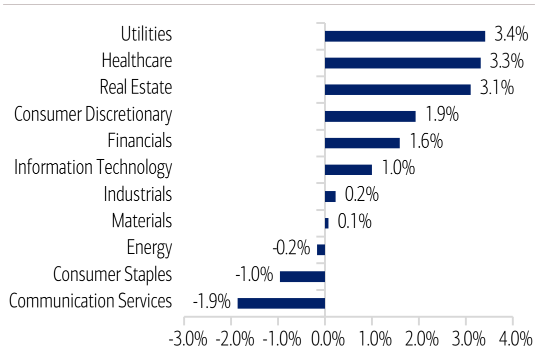
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.71	0.22	-0.51	-0.59
Agencies	4.45	0.06	-0.44	-0.06
Municipals	3.83	-0.28	-0.65	0.31
U.S. Investment-Grade Credit	4.79	0.26	-0.52	-0.45
International	5.26	0.31	-0.21	-0.29
High Yield	7.12	0.25	-0.06	1.13
90 Day Yield	3.66	3.66	3.66	3.63
2 Year Yield	4.12	4.07	3.87	3.47
10 Year Yield	4.56	4.59	4.37	4.17
30 Year Yield	5.06	5.12	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	354.23	-1.5	-1.1	28.2
WTI Crude $/Barrel††	96.60	-8.4	-8.1	68.2
Gold Spot $/Ounce††	4509.4	-0.7	-2.3	4.4

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.16	1.17	1.17
USD/JPY	159.18	158.74	156.59	156.71
USD/CNH	6.80	6.81	6.83	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 05/18/2026 to 05/22/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 05/22/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 5/22/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.2	2.2
CPI inflation (% y/y)	2.7	4.3	4.2	3.9	3.8	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.3	4.3	4.3	4.3	4.2
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the baseline view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **Past performance is no guarantee of future results. There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**

A = Actual. E/* = Estimate. Data as of May 22, 2026.

Sources: BofA Global Research; GWIM ISC as of May 22, 2026.

Asset Class Weightings (as of 5/5/2026)

	CIO View				
Asset Class	Underweight		Neutral		Overweight
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral		Overweight
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of May 5, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Consumer Price Index is a statistical metric that measures the average change over time in the prices paid by urban consumers for a representative "market basket" of consumer goods and services.

MSCI Emerging Markets Index captures large and mid cap representation across 24 Emerging Markets (EM) countries.

Producer Price Index is a family of economic metrics that measures the average change over time in the selling prices received by domestic producers for their output.

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Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

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CHIEF INVESTMENT OFFICE

Capital Market Outlook

May 18, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Expansion Likely to Continue Despite Inflation Flareup:* The recent inflation spike largely reflects an energy-driven, supply-side shock. While pass-through effects may persist for a while, slow hiring, moderate wage growth, strong productivity and a still-softening shelter inflation trend suggest inflation is likely to ease again once the supply disruptions resolve. Incoming data indicates that the macro backdrop remains broadly resilient, reinforced by fiscal and monetary policy support, strong corporate profits, Artificial Intelligence (AI)-led investment, and wealth effects. Less driven by employment and labor-income gains, growth remains moderate, however. With the energy-related inflation impulse balancing against still anchored inflation expectations and limited signs of overheating, the Federal Reserve (Fed) is likely to remain on hold. Absent a sustained increase in inflation expectations, or a sharp rise in real rates unrelated to strengthening growth, the expansion appears durable, a positive for risk assets and investor sentiment.

Market View—*Has Europe's Equity Performance Peaked?:* Europe led the outperformance in international markets in 2025 as fiscal policy was loosened both at the European Union (EU) level and under the incoming coalition government in Germany, and as value sectors outperformed. And Europe's strength relative to the S&P 500 Index extended into the early part of 2026. But European markets have since given up their return advantage, particularly since the late-February onset of the conflict in the Middle East. Though we remain tactically cautious on European markets, we continue to favor a strategic allocation to the region and see pockets of potential opportunity on a country, sector and industry basis.

Thought of the Week—*Rethinking Summer Seasonality:* U.S. Equities look to be heading into the summer with a stronger backdrop than traditional seasonality would suggest. While the "Sell in May and go away" narrative points to historically softer returns during the summer months, recent trends indicate seasonal patterns may be evolving. Over the past decade, May through July have delivered some of the strongest and most consistent returns of the year, with the S&P 500 finishing those months higher, roughly 91%, 82% and 100% of the time, respectively. Combined with strong early year momentum and supportive historical patterns, the outlook remains constructive, in our view, even as periodic volatility—particularly in a midterm year—may lead to some episodic volatility.

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Portfolio Considerations

Equities remain supported by resilient fundamentals despite elevated geopolitical, energy, and policy uncertainty. Strong earnings momentum, fiscal stimulus, and rising productivity continue to underpin the growth outlook. We expect the supply-driven economic cycle to extend this period of transformation and support asset price reflation.

We maintain an Equity overweight, led by U.S. Equities, supported by robust earnings, improving market breadth, and sustained AI-related capital investment. We continue to expect double-digit S&P 500 earnings growth in 2026 and view episodic volatility as a potential buying opportunity.

We remain constructive on Fixed Income but underweight it to fund Equities, maintaining neutral duration amid expectations for range-bound yields as inflation stays sticky and gross domestic product (GDP) growth remains near or above 2%.

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MACRO STRATEGY

Expansion likely to continue despite inflation flareup

Chief Investment Office, *Macro Strategy Team*

Incoming economic data have supported our expectations for resilient U.S. growth in the face of various headwinds. Liquidity conditions have improved meaningfully over the past year as a result of Fed interest rate cuts, the end of quantitative tightening, and easier bank lending standards (Exhibit 1A), helping stabilize economic activity and boosting risk appetite. Fiscal support has also played a role in stabilizing demand, and surging AI-related investment has lifted industrial-sector confidence, activity, and earnings.

As a result, layoffs have remained low, job openings have stabilized (Exhibit 1B), and hiring has rebounded enough to keep unemployment stable near 4.3% in April. Encouragingly, low layoffs, strong profits, declining business credit default rates, improving business sentiment and tight credit spreads point to continued expansion.

Though largely driven by a 60%-plus surge in oil prices as a result of Iran war-related supply disruptions, inflation has also flared up, however, raising concerns about growth and the direction of interest rates. Measured by the consumer price index (CPI), inflation rose at an 8% annualized monthly pace in April. Although less eye-catching, "core" inflation—excluding food and energy—has also accelerated significantly, posting a 4.6% annualized gain in April from 2.4% in March. Both measures remain above the Fed's 2% target, with year-over-year (YoY) headline inflation at a three-year high of 3.8% and "core" inflation at 2.7%.

The inflation reacceleration, combined with signs of rebounding economic growth, has led markets to quickly price out Fed rate cuts this year. While a prolonged policy pause is anticipated before possible rate cuts later in 2027, chatter of Fed tightening has also intensified, especially following a sharper-than-expected producer price index increase in April that suggests growing wholesale inflation pressures.

The pickup in consumer price inflation also reflects ongoing sharp increases in electricity prices (mainly related to surging AI-driven power demand); spillovers from the Iran war into broader goods and services prices; as well as upside import price pressures following a year of dollar depreciation. Still, inflation is generally expected to end the year at 2.7% to 3%, not far above its 2025 pace. Indeed, absent a further escalation of Hormuz-related supply disruptions, there are reasons to expect inflation to remain contained, allowing for an extended expansion.

In a nutshell, energy shocks tend to generate broader and sustained inflation pressures if they are accommodated by loose monetary or fiscal policy. However, current conditions—soft hiring and moderate labor-income growth, easing shelter inflation underpinnings, and relatively anchored longer-term inflation expectations—suggest the risk of a wage-price spiral remains limited. The expansion still lacks the ingredients for sustained inflation: excessive credit creation, strong wage growth and broad excess demand. Moreover, strong productivity continues to mitigate inflation forces. Here are few details underpinning our view:

- The recent inflation flareup reflects residual tariff pass-through and temporary demand support from large One Big Beautiful Bill Act (OBBBA)-related tax refunds.
- The spike in shelter inflation was caused by one-off data distortions. With slow employment growth, multi-year-high rental vacancies, and cooling market rents (which typically led the shelter inflation index by several months), underlying shelter inflation is likely to remain on a downtrend in coming quarters.
- Much of the recent inflation impulse remains supply- and cost-driven rather than excess-demand-driven. If wage growth and inflation expectations remain anchored, as currently observed, higher energy prices mainly act as a tax on consumers, reducing real purchasing power, constraining demand, and limiting second-round inflation effects.

Investment Implications

A prolonged moderate-growth, profit-rich expansion suggests continued narrow credit spreads and support for Equities, particularly sectors leveraged to AI investment, productivity gains and pricing power. Manufacturing upcycles also tend to be accompanied by Emerging Market outperformance and dollar depreciation.

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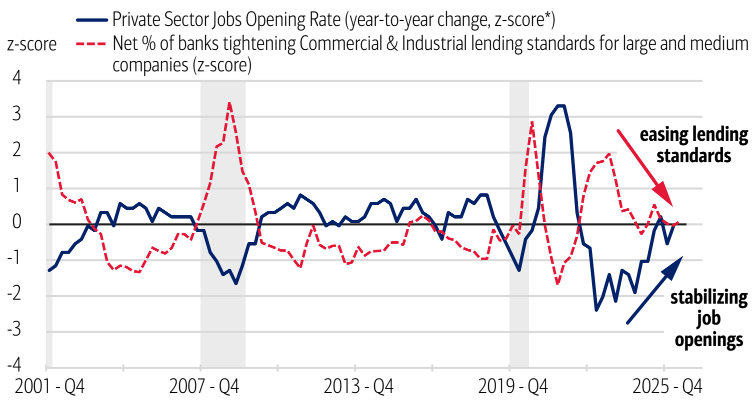
- Jobs have mainly been created in lower-paying services sectors, keeping consumer spending highly uneven across the income distribution.
- According to Fed data, bank lending standards have improved over the past year but remain cautious, inconsistent with excess credit growth and overheating demand (Exhibit 1A).
- The Employment Cost Index, which historically has correlated well with inflation trends, points to limited wage-driven inflation pressures. Accelerating AI adoption and strong productivity growth further restrain unit labor costs, consistent with moderate inflation (Exhibit 1B).
- Equity-market strength has been an important transmission channel of strong capital income into discretionary spending, particularly for higher-income retired baby boomers, who account for a disproportionate share of wealth and consumption.
- While tariff reimbursements—estimated at about $160 billion this year—are providing a new liquidity impulse, the OBBBA tax cuts/refunds are largely offsetting higher gasoline and utility costs rather than generating substantial incremental demand.
- Most importantly, anchored inflation expectations continue to broadly restrain speculative overinvestment in labor and capital. Businesses still appear to primarily invest in operational efficiency gains in support of profit margins, suggesting sustained downside pressures on labor-income growth.
- With much of the AI investment also offset by related equipment imports, incoming indicators remain consistent with only moderate real GDP growth of about 2.2% this year. Given productivity growth of around 2% to 2.5% and scant labor-force growth, this implies growth near or somewhat below potential, which tends to keep inflation in check.

All in all, growth, and especially corporate profits, have surprised to the upside this year. At the same time, surging AI-related capital expenditures, passthrough of higher energy costs into broader prices, and lingering tariff effects are also keeping inflation higher than anticipated this year. The resulting erosion of real incomes is likely to weigh on consumption, while the sharp rise in producer prices points to margin pressure for firms with limited pricing power, effectively acting as a drag on broader growth.

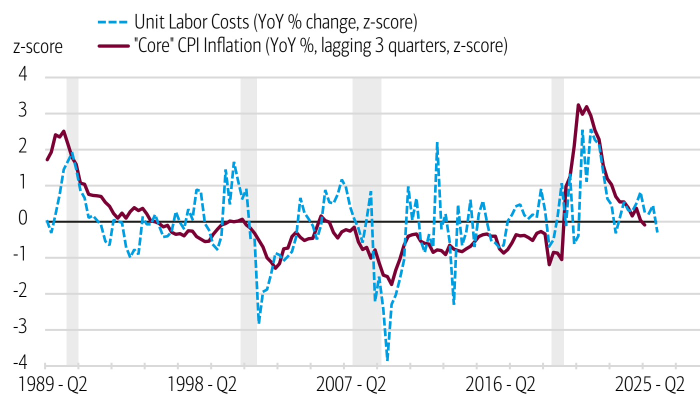
As the Iran supply shock fades, the macroeconomic backdrop suggests an elongated moderate inflation, moderate growth expansion—driven by business investment, strong productivity, durable profits, and support from sustained government deficit spending. Absent a de-anchoring of inflation expectations or a sustained rise in real interest rates relative to growth, in our view the outlook remains supportive for risk assets.

Exhibit 1: Incoming Data Consistent with Moderate Growth and Contained Underlying Inflation Pressures.

A) Bank lending standards in moderate-growth territory.



B) Strong productivity and moderate wage growth suggest benign inflation underpinnings.



*z-score = number of standard deviations from the average of a data set. Gray bars represent recessionary periods. Exhibit 1A) Sources: Bureau of Labor Statistics, Federal Reserve Board/ Haver Analytics. Data as of May 13, 2026. Exhibit 1B) Source: Bureau of Labor Statistics/Haver Analytics. Data as of May 13, 2026.

MARKET VIEW

Has Europe's Equity Performance Peaked?

***Ehiwario Efeyini**, Director and Senior Investment Strategist*

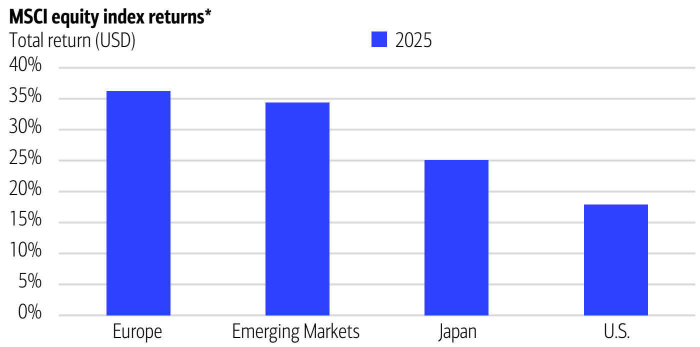
International Equity markets outpaced U.S. Equities by over 15 percentage points in 2025, their widest margin since the 2008 financial crisis. Europe led the major non-U.S. benchmarks last year as fiscal policy was loosened both at the EU level and under the incoming coalition government in Germany, and as value sectors outperformed. And Europe's strength relative to the S&P 500 extended into the early part of 2026. But European markets have since given up their return advantage, particularly since the late-February onset of the conflict in the Middle East (Exhibit 2).

Investment Implications

We remain tactically cautious on European Equities given their vulnerability to the energy shock, relative lack of exposure to growth in AI data center investment, competitive and demand pressures from China in key consumer sectors and a comparatively hawkish central bank monetary policy stance. We nonetheless see individual areas of potential strength along country, sector and industry lines within Europe and continue to favor a strategic allocation to the region.

Exhibit 2: European Equity Return Advantage Has Reversed in 2026.

A) Europe led International Equity gains in 2025.



B) But European markets have lagged in 2026.

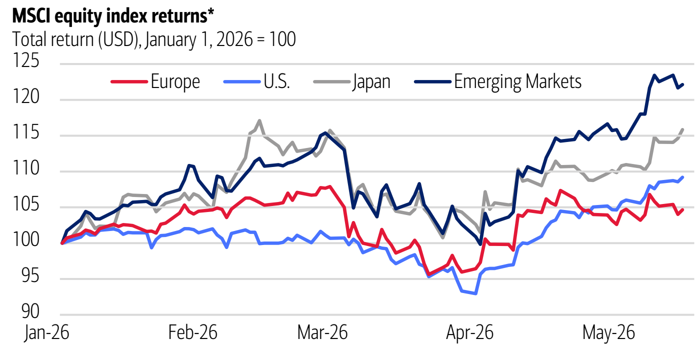


Exhibit 2A and B) Source: Bloomberg. Data as of May 13, 2026. *U.S. market is S&P 500. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trends. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

Alongside the Asia-Pacific, household and industrial energy users in Europe are among the most globally exposed to the energy shock. And though Europe is less reliant than Asia on energy imports sourced directly from Persian Gulf, oil and gas account for a higher proportion of its total energy supply. As a share of primary energy consumption, Europe's combined 57% in oil (33%) and natural gas (24%) far exceeds the levels of 26% in China and 34% for the wider Asia-Pacific region in aggregate (which depends more heavily on coal). This leaves it highly vulnerable to an extended period of high prices. And the estimated €4 trillion spent on energy subsidies by European governments in response to the 2022 Russia-Ukraine conflict-driven price spike has left limited capacity for additional support, according to the International Energy Agency.

Relative weakness in European equity markets has been compounded by the surge in technology stocks over recent weeks. Since the start of Q2, the rebound in global equity markets has been led by enablers of the data center investment boom, particularly semiconductors, foundry and semi-cap equipment as the cloud hyperscalers have sustained their capital spending plans. But across the major global benchmarks, Europe remains among the least exposed to these industry groups. As at the end of the first quarter just 12% of its market capitalization was in the Technology sector as a whole, compared to 33% in U.S. and 40% in emerging Asia, according to MSCI.

At the same time Europe's exposure to China in two major segments of its Consumer Discretionary sector—autos and luxury goods—poses an additional constraint for its corporate earnings outlook, both in terms of competition and export demand. Germany remains the single largest global passenger car exporter by value. But intensifying competition from China's automakers on price and specification has seen China overtake Germany in volume terms over recent years, becoming the leading unit exporter of passenger vehicles in 2024. Meanwhile China's ongoing slump in property prices, alongside its lackluster labor market and weak consumer confidence remains a headwind for Europe's personal luxury goods categories which have traditionally relied on Chinese demand as a key source of growth. And the emergence of competing domestic luxury brands within China itself has only added to these pressures.

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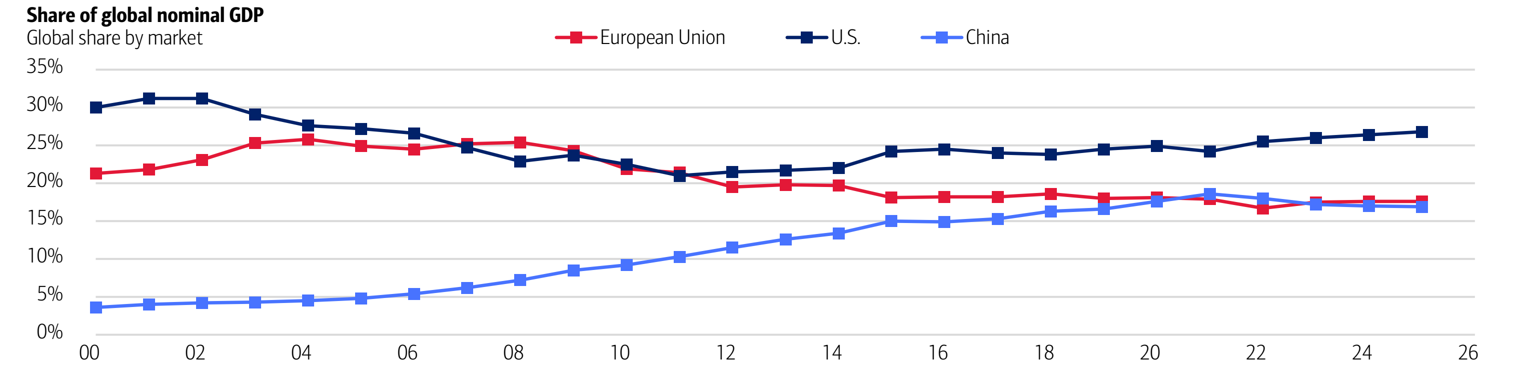
The Middle East conflict has pushed inflation rates higher on a global basis. And just as in the U.S. where inflation continues to exceed the Fed target, headline inflation in the eurozone stands well above the European Central Bank's (ECB) "below but close to 2%" target range at 3.0% for April. But there has been a marked divergence in approach to the energy shock between the major monetary authorities, and the policy stance of the ECB represents another hurdle for the local equity market. While the Fed maintains an easing bias, the ECB has adopted a more hawkish tone and is expected to hike rates in the near term, potentially at its next meeting in June. This would come as a further relative headwind for the earnings outlook in European markets. Slower trend growth in Europe has already led the EU share of global GDP to fall from 25.4% in 2008 to 17.6% in 2025 (Exhibit 3), while being surpassed by China in 2021. And these challenges could cause Europe's nominal output (the fundamental basis for corporate earnings) to lose further ground to the U.S. and China over the period ahead.

Exhibit 3: Europe's Trend Growth Weakness Reflected in Shrinking Share of Global GDP.



Source: International Monetary Fund. Data as of 2025.

Though we remain tactically cautious on European markets, we nonetheless see pockets of potential opportunity within the region. The shift in fiscal approach away from balanced budgets and toward a much less restrictive stance should be an ongoing source of support for the Industrials sector. The defense industry is likely to remain the biggest beneficiary as proceeds from the €800 billion ReArm Europe program are deployed, particularly given concerns over the diversion of U.S. military support toward the conflict in the Middle East. And the wider sector should also gain from additional funds pledged by the German government for spending on clean energy, transportation and digital infrastructure.

On a country basis, the Netherlands is most exposed to the AI investment boom, with a leading manufacturer of advanced semi-cap equipment accounting for close to 50% of the local market. And as data centers pursue more flexible power generation to supplement energy supply from the grid, demand for German providers of on-site gas turbines should also increase.

The ongoing disruptions to global energy supply and persistently high prices in oil and gas markets should remain a tailwind for the Norwegian market, which has been Europe's top performer in 2026. But at the same time, we would expect to see more countries moving to strengthen their domestic energy security in the wake of the conflict. As global leaders in renewable energy equipment manufacturing, this should leave Danish wind power system developers well positioned. And in southern Europe, Greece is also likely to benefit from its growing role in European energy security. Through its shipping infrastructure for liquefied natural gas (LNG) transportation and regasification, Greece has become a key geographical entry point for LNG imports into the region. And index provider MSCI recently announced plans to upgrade the Greek market to developed status in 2027, largely on the basis of its progress on public sector debt repayments and bank re-privatizations since the 2010 euro crisis. Alongside our tactical caution on Europe, we therefore see individual areas of potential strength on country, sector and industry lines. And we continue to favor a strategic allocation to the region for its geographical diversification, greater exposure to value sectors, higher aggregate dividend yields and lower valuations.

THOUGHT OF THE WEEK

Rethinking Summer Seasonality

Kirsten Cabacungan, *Vice President and Investment Strategist*

U.S. Equities appear better positioned heading into the summer than the traditional “Sell in May and go away” narrative would suggest. While seasonal patterns have historically pointed to softer returns between May and October, the data present a more nuanced picture. Since 1928, the S&P 500 has averaged a modest 2.5% return during this six-month period, compared to 5.2% from November through April (Exhibit 4A). However, the index was still higher roughly two-thirds of the time.

More importantly, recent trends suggest that seasonality may be evolving. Over the past decade, May through July have delivered some of the strongest and most consistent returns of the year, with the S&P 500 finishing those months higher, roughly 91%, 82%, and 100% of the time, respectively (Exhibit 4B). The broader May–October period has also averaged a solid 6.3% return over the past 10 years. Notably, in the most recent 12-month period, the traditional pattern reversed entirely, with the S&P 500 rising 22.8% from May through October compared to 5.4% in the subsequent November–April period.

This shifting seasonal backdrop is reinforced by strong underlying momentum. The S&P 500 gained 10.4% in April, marking the fourth-strongest April since 1928, behind 1933, 1938 and 2020, and placing the month in the 98th percentile of all monthly returns. In each of the prior instances with stronger April performance, the S&P 500 rallied meaningfully through the remainder of the year, up 30.2% on average. More broadly, April gains above 5% have historically been associated with stronger than average summer returns, with the S&P 500 advancing 11.6% from May through October and finishing positively nearly 80% of the time.

While the midterm election cycle may introduce volatility—historically associated with drawdowns averaging around 18%—forward returns have been resilient. The S&P 500 has delivered positive returns in the 12 months following every midterm election since 1938, with an average gain of 14.8% over that period.

Taken together, evolving seasonality trends and strong early-year momentum support a constructive outlook for stocks. While episodic volatility, particularly in midterm election years, is possible, such pullbacks have historically presented opportunities rather than signaling a shift in trend. Against a backdrop of resilient earnings growth and ongoing structural AI tailwinds, we maintain a favorable view on U.S. Equities into the second half of the year.

Portfolio Positioning

While volatility may persist in the near term, we remain constructive on the outlook and therefore maintain our U.S. Equity overweight. Robust earnings growth, improving breadth across sectors, and strong capital investment supporting the AI infrastructure build out help to reinforce our view. We would view any near-term market weakness as a potential buying opportunity.

Exhibit 4: Equity Market Seasonality: Historical Pattern vs. Recent Trends.

A) Summer seasonality has historically been softer.

Average 6-month Returns for the S&P 500 (1928 – Apr 2026) Sorted Strongest to Weakest		
6-month Period	**Average Return**	**% of Time Positive**
Nov-Apr	5.2%	70.4%
Mar-Aug	5.0%	70.4%
Oct-Mar	4.6%	62.2%
Dec-May	4.3%	66.0%
Jul-Dec	4.2%	68.4%
Feb-Jul	4.0%	68.4%
Jan-Jun	3.8%	65.3%
Aug-Jan	3.7%	66.3%
Jun-Nov	3.6%	66.3%
Apr-Sep	3.5%	66.3%
Sep-Feb	3.1%	64.3%
May-Oct	2.5%	66.3%

B) Recent trends challenge the ‘Sell in May’ narrative.

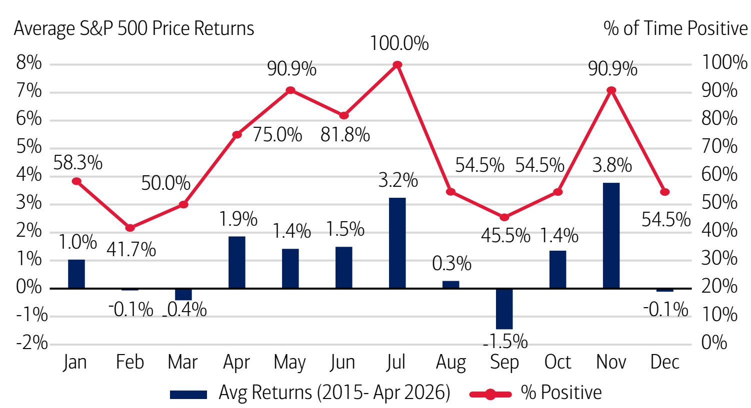


Exhibit 5A) Green represents strongest; red represents weakness. Source: Bloomberg. Average returns from 1928 through April 30, 2026. Data as of April 30, 2026. Exhibit 5B) Source: Bloomberg. Average returns from 2015 through April 30, 2026. Data as of April 30, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,526.17	-0.1	-0.2	3.6
NASDAQ	26,225.14	-0.1	5.4	13.1
S&P 500	7,408.50	0.2	2.8	8.7
S&P 400 Mid Cap	3,609.80	-2.4	-0.8	9.7
Russell 2000	2,793.30	-2.3	-0.2	13.0
MSCI World	4,741.61	-0.3	1.8	7.6
MSCI EAFE	3,024.90	-1.6	-0.2	5.9
MSCI Emerging Markets	1,668.17	-2.5	4.4	19.5

Fixed Income†

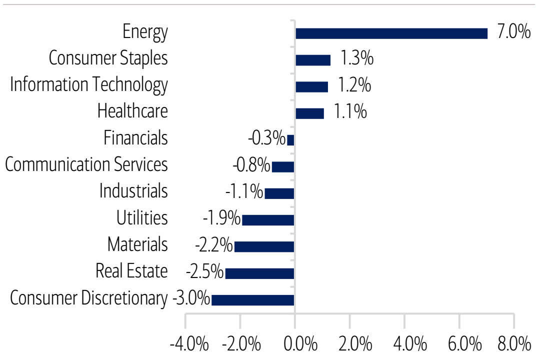
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.71	-1.08	-0.73	-0.81
Agencies	4.43	-0.66	-0.50	-0.12
Municipals	3.77	-0.58	-0.37	0.59
U.S. Investment-Grade Credit	4.81	-1.14	-0.78	-0.71
International	5.27	-1.04	-0.52	-0.60
High Yield	7.17	-0.49	-0.30	0.88
90 Day Yield	3.66	3.68	3.66	3.63
2 Year Yield	4.07	3.88	3.87	3.47
10 Year Yield	4.59	4.35	4.37	4.17
30 Year Yield	5.12	4.93	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	359.71	1.9	0.4	30.2
WTI Crude $/Barrel††	105.42	10.5	0.3	83.6
Gold Spot $/Ounce††	4540.08	-3.7	-1.7	5.1

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.16	1.18	1.17	1.17
USD/JPY	158.74	156.68	156.59	156.71
USD/CNH	6.81	6.80	6.83	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 05/04/2026 to 05/08/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 05/15/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 5/15/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.2	2.2
CPI inflation (% y/y)	2.7	4.2	4.1	3.9	3.7	2.3
Core CPI inflation (% y/y**)	2.5	2.8	2.7	2.9	2.7	2.6
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the baseline view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **Past performance is no guarantee of future results. There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of May 15, 2026.
Sources: BofA Global Research; GWIM ISC as of May 15, 2026.

Asset Class Weightings (as of 5/5/2026)

Asset Class	CIO View: Underweight		Neutral	Overweight	
Equities				●	
U.S. Large-cap				●	
U.S. Mid-cap				●	
U.S. Small-cap				●	
International Developed		●			
Emerging Markets				●	
Fixed Income		●			
U.S. Investment-grade Taxable		●			
International		●			
Global High Yield Taxable		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Private Real Estate			●		
Tangible Assets					
Cash					

CIO Equity Sector Views

Sector	CIO View: Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of May 5, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

U.S./S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

Consumer Price Index is a statistical metric that measures the average change over time in the prices paid by urban consumers for a representative "market basket" of consumer goods and services.

Shelter Inflation Index encompasses both rent and utility payments for renters and the estimated rental cost of similar houses for homeowners.

Employment Cost Index is a quarterly economic metric published by the U.S. Bureau of Labor Statistics that tracks changes in the total cost of labor, including wages, salaries, and employer-provided benefits, free from the influence of employment shifts among occupations and industries.

MSCI Europe Index captures large and mid cap representation across Developed Markets (DM) countries in Europe.

MSCI Emerging Markets Index is a financial benchmark designed to measure the performance of large and mid-cap companies across 24 developing nations.

MSCI Japan Index is designed to measure the performance of the large and mid cap segments of the Japanese market.

Producer Price Index is a key economic indicator that measures the average change over time in the selling prices received by domestic producers for their goods and services. Published by the U.S. Bureau of Labor Statistics (BLS), it acts as a crucial gauge of wholesale inflation.

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Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.

CHIEF INVESTMENT OFFICE

Capital Market Outlook

May 11, 2026

All data, projections and opinions are as of the date of this report and subject to change.

IN THIS ISSUE

Macro Strategy—*Competitive Interdependence:* Taking Stock of U.S.-Sino Relations on the Eve of the Summit: The Great Power Rivalry between the U.S. and China is unique because rarely has a strategic rivalry persisted alongside economic and financial entanglements that would be very costly to unwind. Today, the U.S.–China relationship is best understood as partial decoupling on the surface, with deep interdependence underneath. On the eve of the U.S.-China summit, we highlight some key metrics that not only bind the U.S. and China together but also underscore what's at stake. Among the realities investors should recognize: first, the U.S. is still over-reliant on China for a host of strategic minerals and metals at the heart of the U.S. economy. Second, despite chatter about "de-coupling," China is still one of the largest export markets for U.S. goods. Third, exports don't capture the full picture—data on U.S. affiliates suggests China remains an important market for corporate America. Fourth, greater China is one of the most profitable markets in the world for U.S. products, and fifth, China's financial stakes in the U.S. are still significant despite Beijing's efforts to diversify its excess reserves. All the above is another way of saying that there's a great deal riding on this week's summit since bi-lateral trade, investment and capital flows between the two largest economies remain thick and sticky—and mutually beneficial to both parties.

Market View—*Don't Mistake Market Narrowness for Weakness:* U.S. Equities have staged quite the recovery since their March 30 low. A narrow recovery, that is. Concerns about breadth in the market have returned as just a handful of companies have driven half of the S&P 500 Index's return since the end of March.

Yet the recent resumption of technology leadership doesn't mean underlying fundamentals elsewhere are weak. Quite the opposite, with the median stock in the S&P 500 logging 12% year-over-year (YoY) earnings growth in Q1 or the best growth we've seen in five years. Growth has broadened down the capitalization spectrum and to the wider U.S. economy. Risks remain, yes, and volatility in the face of headlines that change on a dime wouldn't be surprising. But data spanning firms big and small, public and private, and across both Wall Street and Main Street, continuing to point to what remains central to our bullishness: Corporate profits have been expanding and have been far from signaling a weaker economic backdrop. That's good news for U.S. investors.

Thought of the Week—*Along the Same Distorted Lines...*: Artificial Intelligence's (AI) outsized influence on both equity markets and the broader economy is increasingly shaping performance, earnings and growth dynamics. In Equities, leadership has narrowed once again since the onset of the Middle East conflict, driven by AI-adjacent sector outperformance. Meanwhile, AI-driven investment has meaningfully added to economic growth, with related categories contributing a growing share to headline gross domestic product (GDP). From a portfolio perspective and given the potential for market rotations, there is value in maintaining a well-diversified portfolio.

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Director and Senior Investment Strategist

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MARKETS IN REVIEW ▶

Portfolio Considerations

Equities remain supported by resilient fundamentals despite elevated geopolitical, energy, and policy uncertainty. Strong earnings momentum, fiscal stimulus, and rising productivity continue to underpin the growth outlook. We expect the supply-driven economic cycle to extend this period of transformation and support asset price reflation.

We maintain an Equity overweight, led by U.S. Equities, supported by robust earnings, improving market breadth, and sustained AI-related capital investment. We continue to expect double-digit S&P 500 earnings growth in 2026 and view episodic volatility as a potential buying opportunity.

We remain constructive on Fixed Income but underweight it to fund Equities, maintaining neutral duration amid expectations for range-bound yields as inflation stays sticky and GDP growth remains near or above 2%.

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Competitive Interdependence: Taking Stock of U.S.-Sino Relations on the Eve of the Summit

Joseph P. Quinlan, ***Managing Director and Head of Market Strategy***

Investment Implications

U.S.–China economic and financial ties are deeper than headlines suggest. Competition in areas like AI is mounting and will likely be a focus for the months to come. Investors could benefit via diversified exposure to technology leaders in both the U.S. and China and other Asian markets.

The Great Power Rivalry between the U.S. and China is unique because rarely has a strategic rivalry persisted alongside economic and financial entanglements that would be very costly to unwind. Today, the U.S.–China relationship is best understood as partial decoupling on the surface, with deep interdependence underneath.

Hence, on the eve of the U.S.-China summit, we outline some key metrics that not only bind the U.S. and China together but also underscore what's at stake as the two parties prepare to meet.

One, while China's share of U.S. goods imports has declined from 21.6% in 2017 to 9.0% in 2025, and to just 7.5% in Q1 2026, the U.S. remains over-reliant on China for a host of strategic minerals and metals that keep the U.S. economy humming. For instance, of the 60 minerals considered "critical" by the U.S. government, China is the leading producing country for one-third of them. As evident from Exhibit 1A, China's share of U.S. rare earth imports is now at a near all-time high (nearly 70% of the total in Q1), while China's overall U.S. import share is at a decade-low.

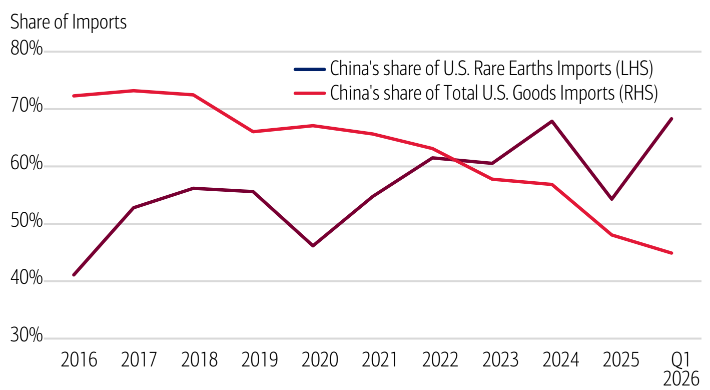
Two, despite all the chatter about U.S. "de-coupling" and "de-risking," China remains one of the largest export markets in the world for U.S. goods. Indeed, only Mexico and Canada consumed more U.S. goods exports than China last year. Yes, annual U.S. exports to China have declined over the past few years, but the U.S. still exports more to China each year than what it sends to the United Kingdom, Japan and Germany.

Conversely, the U.S. remains a critical market for China's merchandise exports—even though China's exports to the U.S. dropped by roughly 20% last year, the U.S. remained the mainland's top export destination in 2025 ($420 billion), ahead of Hong Kong ($337 billion) and Vietnam ($199 billion), according to China's General Administration of Customs. The key takeaway: even with tariffs and geopolitical tensions, U.S.-China bi-lateral total trade flows ($582 billion in 2025 per the Census Bureau) remain among the largest in the world. Including service trade, the total figures are even higher.

Three, U.S. exports to China don't even begin to capture how much business U.S. firms do each year in China. A more accurate metric emerges when you consider the presence of U.S. affiliates operating in China. The data is lagged, but, in 2023, the last year of available data from the Commerce Department, some 1,950 U.S. affiliates were operating in China, the fourth-highest total after the U.K., Canada and the Netherlands (Exhibit 1B).

Exhibit 1: From Minerals to Business Abroad, the U.S. Depends on Beijing.

A) U.S. Still Dependent on China for Rare Earth Imports.



B) Beyond Exports: 1,950 U.S. Affiliates Do Business in China.

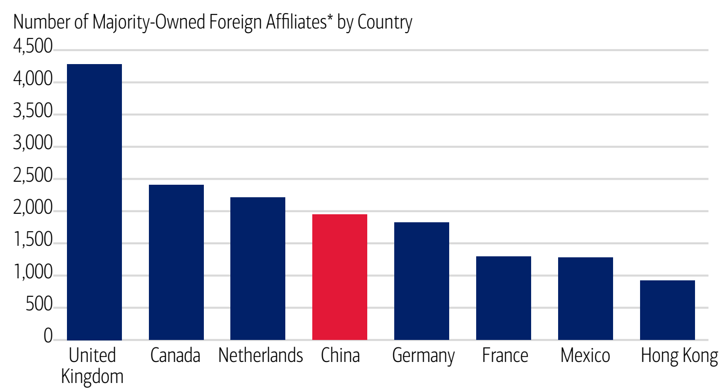


Exhibit 1A) Source: U.S. Census Bureau. Data through March 2026, as of May 5, 2026. Exhibit 1B) *Includes number of affiliates with assets, sales or net income greater than $25 million. Source: Bureau of Economic Analysis. Data refers to 2023, as of March 2026.

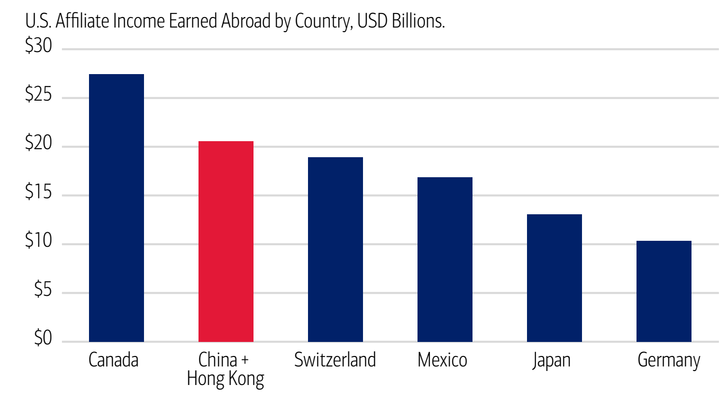
According to the Bureau of Economic Analysis, the in-country assets of these U.S. affiliates totaled $500 billion, producing some $85 billion in economic output, while employing nearly 1.2 million Chinese workers. More importantly, U.S. foreign affiliate sales totaled $475 billion in 2023—a figure some 4.5 times the size of U.S. exports to China and greater than affiliate sales in France, Italy and Spain combined. Suffice to say that whatever the metric—U.S. exports or U.S. affiliate sales—China remains an important market for Corporate America.

It's also a profitable market as well, a **fourth** point to remember. U.S. affiliates earned $8.3 billion in China in 2025; add in Hong Kong, and the total soars to $20.5 billion, making Greater China one of the most profitable markets in the world for U.S. products (Exhibit 2A). As a footnote, the S&P 500 derives more than 40% of its revenues internationally, including 7% from China. The Technology sector stands the most exposed (13%) to China while Consumer Discretionary, Energy and Materials each derive 6% to 7% of sales from the region, according to FactSet.

Fifth, and finally, U.S.-China financial links remain quite strong. Although Beijing has been busy diversifying its excess reserves over the past decade, China's financial stakes in the U.S. remain significant. As depicted in Exhibit 2B, China and Hong Kong's combined holdings of U.S. Treasuries totaled nearly $1 trillion in February 2026, down from a peak of nearly 1.5 trillion in 2015. In addition, as of February, China owned $150+ billion of U.S. Agency bonds and $369 billion stake of U.S. Equities. The key takeaway: China remains a significant creditor to debtor America.

Exhibit 2: China Still Significant Source of Profits and U.S. Asset Demand.

A) Greater China is One of America's Most Profitable Markets.



B) China and Hong Kong's Combined Holdings of U.S. Treasurys.

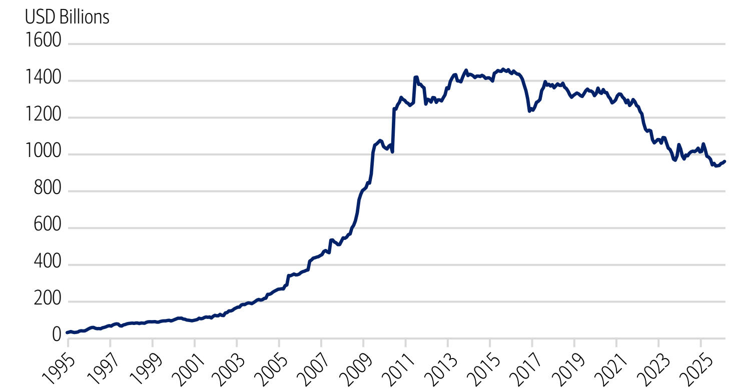


Exhibit 2A) Source: Bureau of Economic Analysis. Data refers to 2025, as of March 2026. Exhibit 2B) Source: U.S. Treasury. Data as of April 15, 2026.

Meanwhile, U.S. ownership of Equities in China hit a record high of $338 billion in February of this year, reflecting the rising appetite among U.S. investors (institutional and retail) to own some of China's most attractive publicly traded companies.

The Summit: What to Watch For. All the above is another way of saying that there's a great deal riding on this week's summit since bilateral trade, investment and capital flows between the U.S. and China remain thick and sticky—and mutually beneficial to both parties.

That said, the markets will be keenly focused on such topics as tariffs, semiconductor restrictions, access to rare earth minerals and Taiwan. In that the summit is less about fostering a breakthrough on any given topic and more about the maintenance of the world's most important bi-lateral relationship, the fact that the two leaders are even meeting in person is a positive backdrop for the global capital markets, the U.S. included.

MARKET VIEW

Don’t Mistake Market Narrowness for Weakness

Ariana Chiu, Assistant Vice President and Investment Strategist

U.S. Equities have staged quite the recovery since their March 30 low. A narrow recovery, that is. Indeed, recent performance has been reminiscent of the AI-supercharged rally of the last couple of years, with just five companies driving half of the S&P 500’s 17% total return since the end of March. After a banger start to the year, the S&P 500’s equal-weighted counterpart has erased its entire year-to-date (YTD) lead over the market-cap weighted index. Hence renewed concerns about breadth in the market, or the lack thereof.

But the recent resumption of technology leadership doesn’t mean underlying fundamentals elsewhere are weak. Yes, narrow performance has reflected narrowness in earnings, with Technology’s 2026 earnings estimates revised higher by more than 15% since the start of the year. The sector is now expected to contribute 43% of the S&P 500 earnings growth in Q1. The main driver? Semiconductors and semiconductors equipment, now projected to grow earnings by nearly 75% YoY in 2026. Meanwhile, a handful of big technology companies have reported blowout profits in part driven by one-off investment gains (e.g., Amazon’s stake in Anthropic).

And still, contrary to concerns, the average stock isn’t flailing. Quite the opposite: The median stock in the S&P 500 is logging 12% YoY earnings growth in Q1, the best growth we’ve seen in five years. Growth beyond technology is hardly anemic and reflective of a broader economy expanding at a healthy pace. In fact, for all the talk about semiconductors being the sole driver of profit growth, S&P 500 earnings are set to expand by an impressive 14% YoY in 2026 excluding both the Magnificent 7[1] and the semiconductor industry. (For context, the same measure was closer to 5% in 2024 and 9% in 2025.)[2]

Moreover, sectors including Materials and Utilities have also seen atypical upward revisions this year. That jives with the Institute for Supply Management manufacturing activity gauge in expansionary territory for the fourth straight month in April. Add too the impact of higher oil prices on Energy companies, and the result has been positive earnings estimate revisions for the broader S&P 500 YTD. That’s extremely rare per Exhibit 3A, which contrasts this year’s path of revisions (up) with the typical path (down). We’d call that good news for U.S. investors.

It’s not just the S&P 500. Down the capitalization spectrum, Small- and Mid-cap Equities have quietly followed suit with forward earnings-per-share (EPS) of the S&P 600 and S&P 400 both inflecting higher in recent months (Exhibit 3B).

Portfolio Positioning

Earnings strength is the backbone behind our conviction that U.S. Equities can remain resilient this year. Against record capital investment by hyperscalers, we are neutral Technology, underweight Communication Services and prefer capital expenditures (capex) beneficiaries like Industrials. Diversification in portfolios can help defend against volatility and any potential shift in the AI narrative.

Exhibit 3: Earnings On the Up and Up for the S&P 500 and Beyond.

A) This Isn't Normal: 2026 Earnings Revisions vs. the Last 10 Years.

B) Earnings Inflecting Higher Across Cap Spectrum.

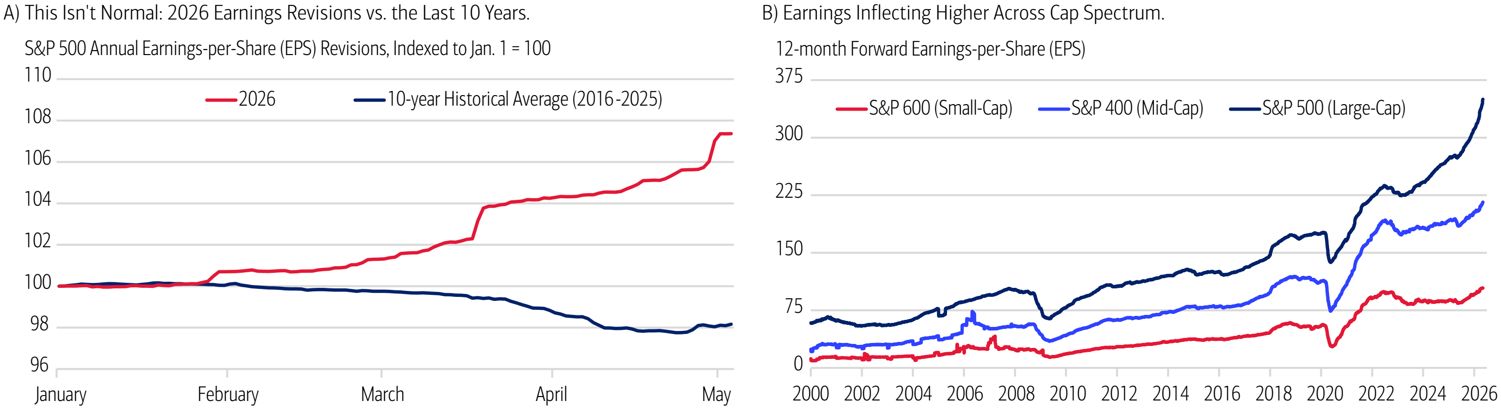


Exhibit 3A) Source: Bloomberg. Data as of May 4, 2026. Exhibit 3B) Source: Bloomberg. Data as of May 6, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

1 Alphabet, Amazon, Apple, Meta, Microsoft, NVIDIA, Tesla.

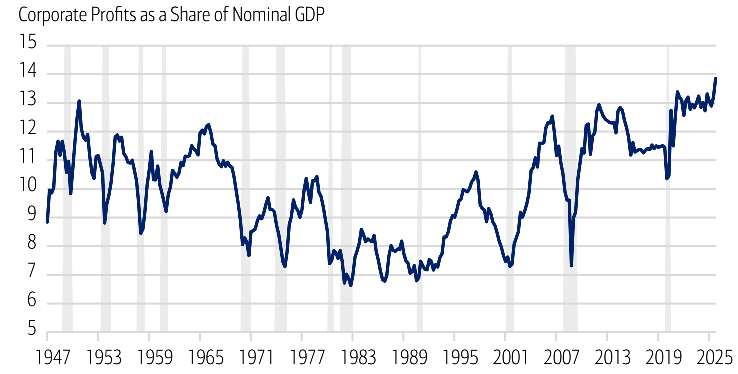
2 BofA Global Research as of May 11, 2026.

Zooming out, latest figures from the Bureau of Economic Analysis' National Income and Product Accounts (NIPA) suggest that economywide U.S. corporate profits expanded to a record $4.4 trillion by the end of 2025. That's nearly 14% of GDP or the highest share in history, as shown in Exhibit 4A. In other words, data spanning firms big and small, public and private, and across both Wall Street and Main Street are pointing to what continues to be central to our bullishness on U.S. Equities: Corporate profits have been expanding and have been far from signaling a weaker economic backdrop.

Of course, profits are in part benefiting from what's shaping up to be a capital expenditure (capex) cycle of the ages. Five hyperscalers are now set to spend over $700 billion in capex this year alone, more than 70% higher YoY versus $416 billion in 2025 (See Exhibit 4B to put this year's estimate in perspective). This extraordinary spending on AI data centers, graphics processing units (GPU) and networking has sent semiconductors' revenues climbing, not to mention the physical power, cooling and electrical infrastructure companies required to support data centers. In the near-term, think cash flow pressure on the big spenders while AI suppliers enjoy higher revenues and margins. Hence our overweight to Industrials, for example, while we remain neutral on Information Technology and underweight Communication Services.

Exhibit 4: Corporate Profits at Record Amid Historic Capital Investment.

C) No Recession in Sight with U.S. Corporate Profits at Record Highs.



D) Holy Spend: Putting Hyperscalers' $700 Billion-Plus Investment in Perspective.

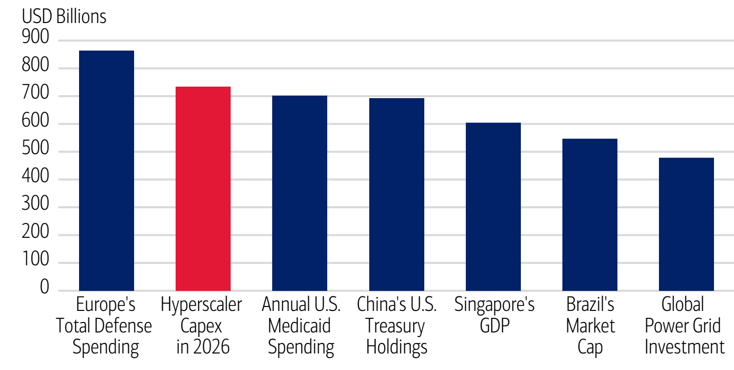


Exhibit 4A) Gray bars represent recessionary periods. Source: Bureau of Economic Analysis. Data as of April 9, 2026. Exhibit 4B) Sources: Stockholm International Peace Research Institute (SIPRI), Bloomberg, company filings, U.S. Treasury, International Monetary Fund, FactSet, BloombergNEF. Europe's total defense spending, Singapore's GDP, and global power grid investment refer to 2025. U.S. Medicaid spending refers to the 12 months ending in March. China's U.S. Treasury holdings refers to February 2026 data. Brazil's market cap as of May 6, 2026. Latest data available.

Looking ahead, the path for U.S. Equities is not without risk. In the near term, we wouldn't be surprised to see some chop and churn should geopolitical conflict reescalate. Weaker returns and higher volatility even in the face of strong growth wouldn't be out of the ordinary in a mid-term election year. Shifting sentiment toward AI also bears watching, particularly given recent parabolic movement in heavyweight semiconductors. The Philadelphia Stock Exchange Semiconductor Index ("SOX") is now some 60% above the index's 200-day moving average, with a handful of names in South Korea and Taiwan soaring in lockstep. Per the latter, this year alone, Taiwan has surpassed France, China and Canada to become the fourth-largest country weight in the MSCI All-Country World Index (behind just the U.S., Japan and the United Kingdom).

But the bottom line is it's hard to go against U.S. Equities with corporate profits and earnings momentum in such good shape. Technology may be dominating performance as of late, amplified in part by its weight in the index, but growth under the surface is broadening to the rest of the economy, in our view. Stay diversified, particularly as headlines shift on a dime, and, remember: Over long periods, Equity returns are primarily driven by corporate earnings growth. It's this fundamental engine that fuels our ongoing bias to the U.S. in portfolios.

THOUGHT OF THE WEEK

Along the Same Distorted Lines...

Lauren Sanfilippo, *Director and Senior Investment Strategist*

Given its disproportionate impact on market performance, earnings and GDP, AI spans and shapes both the equity market and the economy. From its impact on labor markets and the rerouted trade flows in AI-related goods, to record hyperscaler debt issuance and its growing contribution to earnings and equity performance, AI-driven distortions are becoming increasingly visible. In Equities, this manifests as the reasserted technology/AI-adjacent narrow leadership. On display there has been the semiconductor sector parabolic move of 44% off the recent March low. Performance-wise, the S&P 500's YTD return of 6% would be a more meager 2.2% gain absent the semiconductor stocks contribution, driven by demand and supply dynamics.[3]

To further gauge AI's contribution see Exhibit 5A that shows the YoY growth in U.S. goods imports for AI and non-AI categories. After moving in tandem for 30 years, imports of semiconductors and related hardware decoupled from all other goods in 2024, with AI-linked demand surging as non-AI imports declined. Since, the divergence has only widened. Take Q1 GDP for another example, that at last check expanded at roughly a 2.0% annualized rate. Business investment in information technology equipment and software contributed approximately 1.5% to overall growth, an extraordinary share that reflects the scale and apparent urgency of AI-related capital deployment across America.

See Exhibit 5B that shows the outperformance of semi and semicap equipment relative to the broader S&P 500 Index over the three-and-a-half years since ChatGPT's launch. Accordingly, semiconductor stocks represent 17% of the S&P 500's market capitalization, ballooning from 5% since ChatGPT's advent. Not abating are semi's earnings estimates, which are on pace for a stunning near-80% EPS growth for this year.

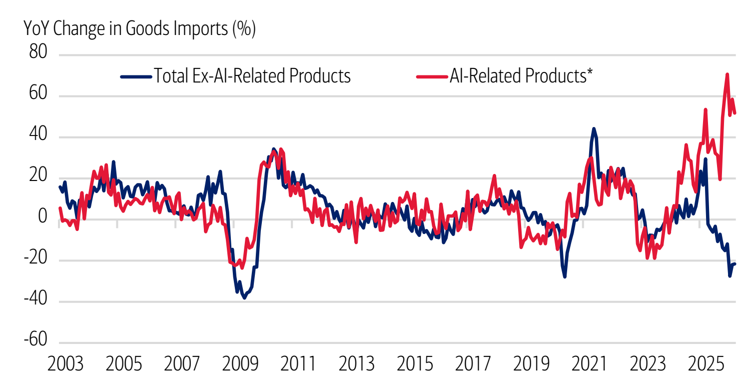
In other words, as semiconductors have become a marginal driver of Equity returns, AI-oriented investment has become a marginal driver of economic growth. And so, the narrowness of the AI-trade festers as AI-driven investment continues to be a central pillar of economic growth. Nonetheless, from a portfolio risk management perspective, we'd incorporate a more varied mix of variables—spanning size, style and sector—to best capture the fits and starts of narrowness and broadening seen this year.

Investment Implications

The Equity narrowness and GDP contribution of AI seen over the first four months of the year could persist given the basic equation of insatiable demand and structural constraints that are pushing prices and profits for related companies higher.

Exhibit 5: The Divergence in AI/non-AI goods imports and Semis Lift-Off.

A) U.S. Imported Goods Disaggregated.



B) Semis and Everything Else.

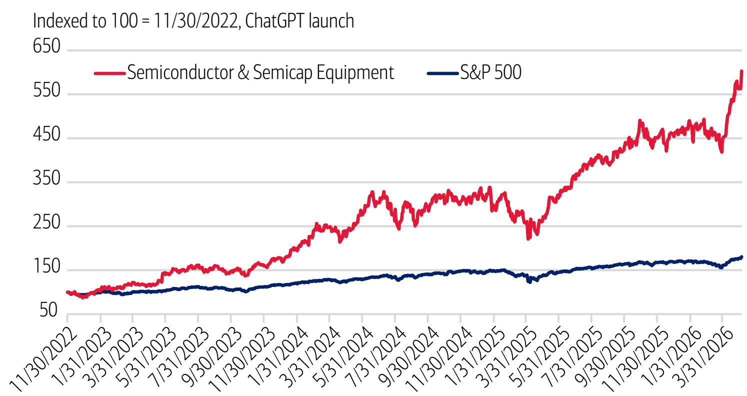


Exhibit 5A) *Includes computer equipment, communications equipment, and semiconductors and other electronic components. Source: Census Bureau, Haver Analytics. Data as of May 5, 2026. Exhibit 5B) Source: Source: Bloomberg. Data as of May 6, 2026. **Past performance is no guarantee of future results.** Please refer to index definitions at the end of this report. It is not possible to invest directly in an index.

3 Data as of May 5, 2026. Source: Bloomberg.

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MARKETS IN REVIEW

Equities

	Total Return in USD (%)			
	Current	WTD	MTD	YTD
DJIA	49,609.16	0.2	-0.1	3.7
NASDAQ	26,247.08	4.5	5.5	13.1
S&P 500	7,398.93	2.4	2.7	8.5
S&P 400 Mid Cap	3,699.83	1.7	1.7	12.4
Russell 2000	2,861.21	1.7	2.2	15.7
MSCI World	4,757.30	1.8	2.1	7.9
MSCI EAFE	3,076.29	1.1	1.4	7.6
MSCI Emerging Markets	1,711.25	6.9	7.0	22.5

Fixed Income†

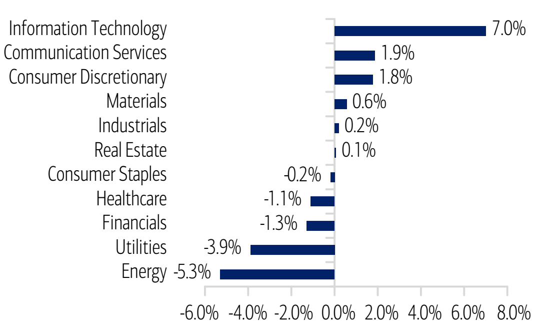
	Total Return in USD (%)			
	Current	WTD	MTD	YTD
Corporate & Government	4.51	0.25	0.35	0.27
Agencies	4.25	0.13	0.15	0.53
Municipals	3.66	0.20	0.21	1.18
U.S. Investment-Grade Credit	4.59	0.26	0.37	0.44
International	5.10	0.38	0.52	0.44
High Yield	6.94	0.05	0.18	1.37
90 Day Yield	3.68	3.65	3.66	3.63
2 Year Yield	3.88	3.88	3.87	3.47
10 Year Yield	4.35	4.37	4.37	4.17
30 Year Yield	4.93	4.96	4.97	4.84

Commodities & Currencies

	Total Return in USD (%)			
Commodities	Current	WTD	MTD	YTD
Bloomberg Commodity	353.05	-1.2	-1.4	27.8
WTI Crude $/Barrel††	95.42	-6.4	-9.2	66.2
Gold Spot $/Ounce††	4715.25	2.2	2.1	9.2

	Total Return in USD (%)			
Currencies	Current	Prior Week End	Prior Month End	2025 Year End
EUR/USD	1.18	1.17	1.17	1.17
USD/JPY	156.68	157.01	156.59	156.71
USD/CNH	6.80	6.83	6.83	6.98

S&P Sector Returns



Sources: Bloomberg, Factset. Total Returns from the period of 05/04/2026 to 05/08/2026. †Bloomberg Barclays Indices. ††Spot price returns. All data as of the 05/08/2026 close. Data would differ if a different time period was displayed. Short-term performance shown to illustrate more recent trend. **Past performance is no guarantee of future results.**

Economic Forecasts (as of 5/8/2026)

	Q1 2026A	Q2 2026E	Q3 2026E	Q4 2026E	2026E	2027E
Real global GDP (% y/y annualized)	-	-	-	-	3.1	3.4
Real U.S. GDP (% q/q annualized)	2.0	2.5	1.9	1.9	2.2	2.2
CPI inflation (% y/y)	2.7	4.2	4.1	3.8	3.7	2.3
Core CPI inflation (% y/y**)	2.5	2.7	2.6	2.8	2.7	2.5
Unemployment rate (%)	4.3	4.5	4.5	4.4	4.4	4.3
Fed funds rate, end period (%)	3.63	3.63	3.63	3.63	3.63	3.13

The forecasts in the table above are the base line view from BofA Global Research. The Global Wealth & Investment Management (GWIM) Investment Strategy Committee (ISC) may make adjustments to this view over the course of the year and can express upside/downside to these forecasts. Historical data is sourced from Bloomberg, FactSet, and Haver Analytics. **There can be no assurance that the forecasts will be achieved. Economic or financial forecasts are inherently limited and should not be relied on as indicators of future investment performance.**
A = Actual. E/* = Estimate. Data as of May 8, 2026.
Sources: BofA Global Research; GWIM ISC as of May 8, 2026.

Asset Class Weightings (as of 5/5/2026)

	CIO View				
Asset Class	Underweight		Neutral	Overweight	
Global Equities				●	
U.S. Large-cap Growth				●	
U.S. Large-cap Value				●	
U.S. Small-cap Growth				●	
U.S. Small-cap Growth				●	
International Developed		●			
Emerging Markets				●	
Global Fixed Income		●			
U.S. Governments		●			
U.S. Mortgages		●			
U.S. Corporates		●			
International Fixed Income		●			
High Yield		●			
U.S. Investment-grade Tax Exempt		●			
U.S. High Yield Tax Exempt		●			
Alternative Investments					
Hedge Strategies			●		
Private Equity			●		
Private Credit			●		
Real Assets			●		
Cash					

CIO Equity Sector Views

	CIO View				
Sector	Underweight		Neutral	Overweight	
Industrials				●	
Consumer Discretionary				●	
Financials				●	
Information Technology			●		
Energy			●		
Materials			●		
Utilities			●		
Healthcare			●		
Communication Services		●			
Real Estate		●			
Consumer Staples		●			

* Many products that pursue Alternative Investment strategies, specifically Private Equity and Hedge Funds, are available only to qualified investors. CIO asset class views are relative to the CIO Strategic Asset Allocation (SAA) of a multi-asset portfolio. Source: Chief Investment Office as of May 5, 2026. All sector and asset allocation recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

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Index Definitions

Securities indexes assume reinvestment of all distributions and interest payments. Indexes are unmanaged and do not take into account fees or expenses. It is not possible to invest directly in an index. Indexes are all based in U.S. dollars.

S&P 500 Index is a stock market index tracking the stock performance of 500 leading companies listed on stock exchanges in the United States.

S&P 500 Market-cap Weighted Index is a stock market index where companies are weighted based on their total market capitalization (shares outstanding price), meaning larger companies like Nvidia, Apple, and Microsoft have a greater influence on performance.

S&P 600 Index is a market-capitalization-weighted stock index maintained by S&P Dow Jones Indices that tracks 600 small-sized U.S. companies.

S&P 400 Index is a stock market index from S&P Dow Jones Indices that measures the performance of 400 medium-sized U.S. companies.

Philadelphia Stock Exchange Semiconductor Index ("SOX") is a market-capitalization-weighted index, trading under the symbol ^SOX, that tracks 30 of the largest U.S.-listed companies involved in the design, manufacture, and sale of semiconductors.

MSCI All-Country World Index is a premier global equity benchmark managed by MSCI that tracks the performance of large- and mid-cap stocks across 23 developed and 24 emerging markets.

Important Disclosures

Investing involves risk, including the possible loss of principal. Past performance is no guarantee of future results.

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The Global Wealth & Investment Management Investment Strategy Committee ("GWIM ISC") is responsible for developing and coordinating recommendations for short-term and long-term investment strategy and market views encompassing markets, economic indicators, asset classes and other market-related projections affecting GWIM.

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All recommendations must be considered in the context of an individual investor's goals, time horizon, liquidity needs and risk tolerance. Not all recommendations will be in the best interest of all investors.

Asset allocation, diversification and rebalancing do not ensure a profit or protect against loss in declining markets.

Investments have varying degrees of risk. Some of the risks involved with equity securities include the possibility that the value of the stocks may fluctuate in response to events specific to the companies or markets, as well as economic, political or social events in the U.S. or abroad. Small cap and mid cap companies pose special risks, including possible illiquidity and greater price volatility than funds consisting of larger, more established companies. Investing in fixed-income securities may involve certain risks, including the credit quality of individual issuers, possible prepayments, market or economic developments and yields and share price fluctuations due to changes in interest rates. When interest rates go up, bond prices typically drop, and vice versa. Investments in high-yield bonds (sometimes referred to as "junk bonds") offer the potential for high current income and attractive total return, but involves certain risks. Changes in economic conditions or other circumstances may adversely affect a junk bond issuer's ability to make principal and interest payments. Income from investing in municipal bonds is generally exempt from Federal and state taxes for residents of the issuing state. While the interest income is tax-exempt, any capital gains distributed are taxable to the investor. Income for some investors may be subject to the Federal Alternative Minimum Tax (AMT). Treasury bills are less volatile than longer-term fixed income securities and are guaranteed as to timely payment of principal and interest by the U.S. government. Bonds are subject to interest rate, inflation and credit risks. Investments in foreign securities (including ADRs) involve special risks, including foreign currency risk and the possibility of substantial volatility due to adverse political, economic or other developments. These risks are magnified for investments made in emerging markets. Investments in a certain industry or sector may pose additional risk due to lack of diversification and sector concentration. There are special risks associated with an investment in commodities, such as gold, including market price fluctuations, regulatory changes, interest rate changes, credit risk, economic changes and the impact of adverse political or financial factors.

Alternative investments are speculative and involve a high degree of risk.

Alternative investments are intended for qualified investors only. Alternative Investments such as derivatives, hedge funds, private credit, private equity funds, and funds of funds can result in higher return potential but also higher loss potential. Changes in economic conditions or other circumstances may adversely affect your investments. Before you invest in alternative investments, you should consider your overall financial situation, how much money you have to invest, your need for liquidity, and your tolerance for risk.

Nonfinancial assets, such as closely held businesses, real estate, fine art, oil, gas and mineral properties, and timber, farm and ranch land, are complex in nature and involve risks including total loss of value. Special risk considerations include natural events (for example, earthquakes or fires), complex tax considerations, and lack of liquidity. Nonfinancial assets are not in the best interest of all investors. Always consult with your independent attorney, tax advisor, investment manager, and insurance agent for final recommendations and before changing or implementing any financial, tax, or estate planning strategy.